

MERLIN PROPERTIES, SOCIMI, S.A.

Financial Statements for the year
ended 31 December 2017 and
Directors' Report

MERLIN PROPERTIES SOCIMI, S.A.

STATEMENT OF FINANCIAL POSITION AS OF 31 DECEMBER 2017

(Thousands of euros)

ASSETS	Notes	31/12/2017	31/12/2016	EQUITY AND LIABILITIES	Notes	31/12/2017	31/12/2016
NON-CURRENT ASSETS		7,997,299	7,512,243	EQUITY	Note 11	3,928,179	4,025,426
Intangible assets -		271,824	296,297	OWN FUNDS-		3,932,623	4,032,744
Goodwill	Note 5	185,283	208,443	Subscribed capital		469,771	469,771
Concession projects	Note 6	85,345	86,892	Share premium		3,970,842	4,017,485
Other intangible assets		1,196	962	Reserves		(504,727)	(514,154)
Property, plan and equipment		3,837	3,515	Treasury shares		(24,881)	(105)
Investment property -	Note 7	4,718,796	4,588,193	Other equity holder contributions		540	540
Land		105,565	131,738	Profit/(loss) for the period	Note 3	114,535	118,966
Buildings		4,463,967	4,422,977	(Interim dividend)		(93,457)	(59,759)
Under construction and advances		149,264	33,478	VALUATION ADJUSTMENTS-		(4,444)	(7,318)
Non-current investments in group companies and associates -		2,858,235	2,426,684	Hedging transactions		(4,444)	(7,318)
Equity instruments	Note 10	2,743,588	2,285,666				
Loans to companies	Notes 8 and 17.2	114,647	141,018				
Non-current investments -	Note 8	36,543	86,539	NON-CURRENT LIABILITIES		4,636,976	4,406,034
Equity instruments		873	206	Non-current provisions -	Note 13	69,715	28,382
Loans to third parties		640	1,718	Long-term employee benefits		44,455	10,159
Other financial assets		35,030	84,615	Other provisions		25,260	18,223
Deferred tax assets	Note 15.3	108,064	111,015	Non-current payables -	Note 12	4,105,153	3,905,607
				Debt instruments and other marketable securities		3,221,317	2,327,345
				Non-current bank borrowings	Note 12	834,556	1,512,565
CURRENT ASSETS		860,719	1,132,469	Derivatives	Note 12	1,814	17,391
Inventories -		1,468	1,029	Other financial liabilities	Note 13	47,466	48,306
Advances to suppliers		1,468	1,029	Group companies and associates, non-current	Notes 8 and 17.2	29,853	12,183
Trade and other receivables -	Note 8	62,708	445,542	Deferred tax liabilities	Note 15.4	432,255	459,862
Trade receivables		3,414	7,082				
Trade receivables from group companies and associates	Note 17.2	2,905	550	CURRENT LIABILITIES		292,863	213,252
Other receivables		51,496	429,167	Current provisions	Note 13	867	867
Personnel		184	178	Current payables -		163,319	42,064
Public entities, other	Note 15	4,709	8,565	Debt instruments and other marketable securities	Note 12	34,007	25,629
Current investments in group companies and associates -	Notes 8 and 17.2	490,786	511,139	Current bank borrowings	Note 12	126,250	13,734
Loans to companies		67,891	78,350	Other financial liabilities	Note 13	3,062	2,701
Other financial assets		422,895	432,789	Group companies and associates, current	Notes 8 and 17.2	40,497	35,314
Current investments -	Note 8	5,217	6,181	Trade and other payables -	Note 14	80,891	132,329
Equity instruments		18	18	Suppliers		25,887	46,169
Loans to companies		501	222	Suppliers, group companies and associates	Notes 8 and 17.2	32,007	32,079
Debt securities		3,849	3,849	Other payables	Note 14	5,503	25,005
Other financial assets		849	2,092	Personnel (salaries payable)	Note 14	7,876	11,831
Prepayments for current assets		4,933	104	Current tax liabilities	Note 14	-	12,680
Cash and cash equivalents -	Note 9	295,607	168,474	Public entities, other	Note 15	9,560	3,961
Cash		294,818	167,686	Advances from customers		58	604
Cash equivalents		789	788	Current accruals		7,289	2,678
TOTAL ASSETS		8,858,018	8,644,712	TOTAL EQUITY AND LIABILITIES		8,858,018	8,644,712

The accompanying explanatory Notes 1 to 24 are an integral part of the statement of financial position as of 31 December 2017.

MERLIN PROPERTIES SOCIMI, S.A.

INCOME STATEMENT FOR THE PERIOD ENDED 31 DECEMBER 2017

(Thousands of euros)

	Notes	2017	2016
CONTINUING OPERATIONS:			
Revenue	Note 19.1	379,808	230,933
Work carried out by the company for assets		-	498
Other operating income		2,941	3,814
Personnel expenses -	Note 19.2	(70,339)	(42,021)
Salaries and wages		(68,534)	(40,811)
Employee benefits expense		(1,805)	(1,210)
Other operating expenses	Note 19.3	(34,744)	(38,471)
Depreciation and amortisation	Notes 5, 6 and 7	(64,611)	(55,861)
Provision surpluses		(1,060)	-
Impairment and gains/(losses) on disposal of fixed assets -		(39,350)	(13,078)
Impairment and losses		(39,350)	(6,805)
Gain/(losses) on disposal and other		-	(6,273)
Negative difference on business combinations		-	73,116
PROFIT/(LOSS) FROM ORDINARY ACTIVITIES		172,645	158,930
Finance income -	Note 19.4	594	1,091
Marketable securities and other financial instruments		363	575
- Group companies and associates		363	469
- Other		-	106
Other finance income		231	516
Finance expenses -	Note 19.4	(88,536)	(61,240)
Group companies and associates		(173)	(2,029)
Other		(87,364)	(58,274)
Other finance expenses		(999)	(937)
Change in fair value of financial instruments		5,714	(6,244)
Impairment and gains/(losses) on disposal of financial instruments -		(12,366)	25,533
Impairment and losses	Note 10	(13,844)	(8,598)
Gains/(losses) on disposal and other		1,478	34,131
NET FINANCE INCOME/(EXPENSE)		(94,594)	(40,860)
PROFIT/(LOSS) BEFORE TAX		78,051	118,070
Income tax	Note 15.2	36,484	896
PROFIT/(LOSS) FOR THE PERIOD FROM CONTINUING OPERATIONS		114,535	118,966

The accompanying explanatory Notes 1 to 24 are an integral part of the condensed consolidated income statement for the period ended 31 December 2017

MERLIN PROPERTIES SOCIMI, S.A.

STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 31 DECEMBER 2017

A) STATEMENT OF INCOME AND EXPENSES RECOGNISED

(Thousand of euros)

	2017	2016
PROFIT/(LOSS) FROM INCOME STATEMENT (I)	114,535	118,966
Income and expenses recognised directly in equity		
- From cash flow hedges	(57)	(13,562)
TOTAL INCOME AND EXPENSES RECOGNISED DIRECTLY IN EQUITY (II)	(57)	(13,562)
Total amounts transferred to income statement		
- From cash flow hedges	2,931	6,244
TOTAL AMOUNTS TRANSFERRED TO INCOME STATEMENT (III)	2,931	6,244
TOTAL INCOME AND EXPENSES RECOGNISED (I+II+III)	117,409	111,648

The accompanying explanatory Notes 1 to 24 are an integral part of the statement of changes in equity as of 31 December 2017

MERLIN PROPERTIES SOCIMI, S.A.

STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 31 DECEMBER 2017

B) TOTAL STATEMENT OF CHANGES IN EQUITY

(Thousand of euros)

	Share capital	Share premium	Reserves	Merger reserves	Treasury shares	Valuation adjustments	Other equity holder contributions	Prior periods' profit/(loss)	Profit/(loss) for the period	Interim dividend	TOTAL
BALANCES AS OF 31 DECEMBER 2015	323,030	2,616,003	(81,965)	-	-	-	540	(3,053)	29,859	(25,035)	2,859,379
Total recognised income and expense	-	-	-	-	-	(7,318)	-	-	118,966	-	111,648
Transactions with equity holders:											
- Application of the profit/(loss) for the period 2015	-	-	4,824	-	-	-	-	-	(29,859)	25,035	-
- Capital increases	146,741	1,526,104	(223,046)	-	-	-	-	-	-	-	1,449,799
- Application of the share premium	-	(85,017)	81,964	-	-	-	-	3,053	-	-	-
- Merger	-	-	-	(311,556)	-	-	-	-	-	-	(311,556)
Recognition of share-based payments	-	-	15,625	-	-	-	-	-	-	-	15,625
Acquisition of own shares	-	-	-	-	(1,369)	-	-	-	-	-	(1,369)
Exchange of own shares	-	-	-	-	1,264	-	-	-	-	-	1,264
Distribution of dividends	-	(39,605)	-	-	-	-	-	-	-	(59,759)	(99,364)
BALANCES AS OF 31 DECEMBER 2016	469,771	4,017,485	(202,598)	(311,556)	(105)	(7,318)	540	-	118,966	(59,759)	4,025,426
Total income and expenses recognised	-	-	-	-	-	2,874	-	-	114,535	-	117,409
Transactions with equity holders:											
- Application of the profit/(loss) for the period 2016	-	-	59,207	-	-	-	-	-	(118,966)	59,759	-
- Merger	-	-	-	1,629	-	-	-	-	-	-	1,629
Acquisition of own shares	-	-	-	-	(35,393)	-	-	-	-	-	(35,393)
Recognition of share-based payments (Note 18)	-	-	15,738	-	-	-	-	-	-	-	15,738
Delivery of shares of 2016 stock plan	-	-	(19,661)	-	10,617	-	-	-	-	-	(9,044)
Distribution of dividends (Notes 3 and 11.4)	-	(46,643)	(47,311)	-	-	-	-	-	-	(93,457)	(187,411)
Other	-	-	(175)	-	-	-	-	-	-	-	(175)
BALANCES AS OF 31 DECEMBER 2017	469,771	3,970,842	(194,800)	(309,927)	(24,881)	(4,444)	540	-	114,535	(93,457)	3,928,179

The accompanying explanatory Notes 1 to 24 are an integral part of the statement of changes in equity as of 31 December 2017

MERLIN PROPERTIES SOCIMI, S.A.

STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 31 DECEMBER 2017

(Thousands of euros)

	Notes	2017	2016
CASH FLOWS FROM/(USED IN) OPERATING ACTIVITIES (I)		630,451	167,189
Profit/(loss) for the period before tax		78,051	118,070
Adjustments for-		218,304	122,080
- Depreciation and amortisation	Notes 5, 6 y 7	64,611	55,861
- Valuation allowances for impairment losses	Notes 7 and 10	53,194	15,403
- Change in provisions		44,899	18,525
- Gains/(losses) on disposals of assets	Notes 7 and 10	(1,478)	(27,858)
- Change in fair value of financial instruments		(5,714)	-
- Finance income		(594)	(1,091)
- Finance expenses	Note 19.4	88,536	61,240
- Other income and expenses		(25,150)	-
Changes in working capital-		394,896	(14,025)
- Inventories		(439)	(1,029)
- Trade and other receivables		382,834	1,216
- Other current assets		(3,865)	(6,221)
- Trade and other payables		(33,151)	(6,804)
- Other assets and liabilities		49,517	(1,187)
Other cash flows from/(used in) operating activities-		(60,800)	(58,936)
- Interest paid		(77,357)	(50,066)
- Interest received		232	1,091
- Income tax paid	Note 15.1	16,325	(9,961)
CASH FLOWS FROM/(USED IN) INVESTING ACTIVITIES (II)		(598,565)	(820,164)
Payments for investments-		(614,171)	(994,446)
- Group companies and associates		(388,344)	(970,497)
- Intangible assets		(1,080)	(739)
- Property, plant and equipment		(925)	(3,213)
- Investment property	Note 7	(223,822)	(11,384)
- Other financial assets		-	(8,613)
Proceeds from sale of investments-		15,606	174,282
- Empresas del Grupo y asociadas		-	18,138
- Property, plant and equipment		-	-
- Investment property		15,606	149,594
- Other financial assets		-	6,550
CASH FLOWS FROM/(USED IN) FINANCING ACTIVITIES (III)		95,247	496,148
Proceeds from and payments for equity instruments-		(35,393)	(105)
- Issue of equity instruments		-	-
- Acquisition of own equity instruments	Note 11.3	(35,393)	(1,369)
- Disposal of own equity instruments		-	1,264
Proceeds from and payments for financial liabilities instruments-		318,051	595,617
- Issue of debt with financial institutions		-	3,625,707
- Issues of other payables		890,256	8,442
- Redemption and repayment of debt with financial institutions		(572,205)	(3,023,118)
- Redemption and repayment of group companies and associates		-	(15,414)
Dividends and interest on other equity instruments paid		(187,411)	(99,364)
- Dividends	Notes 3 and 11.4	(187,411)	(99,364)
EFFECT OF EXCHANGE RATE FLUCTUATIONS (IV)		-	-
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS (I+II+III+IV)		127,133	(156,827)
Cash and cash equivalents at beginning of period		168,474	325,301
Cash and cash equivalents at end of period		295,607	168,474

The accompanying explanatory Notes 1 to 24 are an integral part of the statement of cash flows for the period ended 31 December 2017

Merlin Properties SOCIMI, S.A.

Notes to the financial statements for the year ended 31 December 2017

1. Nature and activities of the Company

Merlin Properties SOCIMI, S.A. ("the Company") was incorporated in Spain on 25 March 2014 under the name Merlin Properties, S.A. (Sole-Shareholder Company), in accordance with Spanish Corporate Enterprises Act. On 22 May 2014, the Parent requested to be included in the tax regime for listed real estate investment companies (SOCIMIs), effective from 1 January 2014.

On 27 February 2017, the Company changed its registered office from Paseo de la Castellana 42 to Paseo de la Castellana 257, Madrid.

The Company's corporate purpose is:

- The acquisition and development of urban real estate for subsequent leasing, including the refurbishment of buildings as per the Spanish Law 37/1992, of 28 December, on Value-Added Tax;
- The ownership of interests in the share capital of listed real estate investment companies (SOCIMIs) or other non-resident entities in Spain with the same corporate purpose, which are subject to a regime similar to that established for SOCIMIs in relation to the obligatory profit distribution policy stipulated by law or the articles of association.
- The ownership of interests in the share capital of other resident or non-resident entities in Spain, the main corporate purpose of which is the acquisition of urban properties earmarked for lease, which are subject to the regime established for SOCIMIs in relation to the obligatory profit distribution policy stipulated by law or the articles of association and meet the investment requirements stipulated for these companies; and
- The ownership of shares or equity interests in collective real estate investment undertakings governed by Spanish Law 35/2003, of 4 November, on collective investment undertakings, or any law that may replace it in the future.

In addition to the economic activity relating to the main corporate purpose, the Company may also carry on any other ancillary activities, i.e., those that generate income, which in total represents less than 20% of the Company's income in each tax period, or those that may be considered ancillary activities under the legislation applicable at any time.

The activities included in the Company's corporate purpose may be indirectly carried on, either wholly or in part, through the ownership of shares or equity interests in companies with a similar or identical corporate purpose.

The direct and, where applicable, indirect performance of any activities that are reserved under special legislation are excluded. If the law prescribes the need for a professional qualification, administrative authorisation, entry in a public register, or any other requirement for the purpose of exercising any of the activities within the corporate purpose, no such activity can be exercised until all the applicable professional or administrative requirements have been met.

The merger by absorption of Testa Inmuebles en Renta SOCIMI, S.A. took place in 2016, along with the business combination for the property business of Metrovacesa, S.A. The disclosures required under Article 107 of Spanish Law 43/1995, of 27 December on Corporation Tax, with respect to the mergers are detailed in the 2016 financial statements.

Merlin Properties SOCIMI, S.A. ("the Company") engages mainly in the acquisition and management (through leasing to third parties) of offices, industrial buildings, logistic centres, local premises and shopping centres, and it

may also invest to a lesser extent in other assets for lease.

All the Company's shares have been admitted to official listing on the Madrid, Barcelona, Bilbao and Valencia stock exchanges since 30 June 2014. The market price of the Company's shares at 31 December 2017 and the average market price for the fourth quarter amounted to EUR 11.30 and EUR 11.12 per share, respectively.

The Company is the head of a group of subsidiaries and is obliged under current legislation to prepare consolidated financial statements separately. These consolidated financial statements were prepared in accordance with International Financial Reporting Standards (IFRSs), in conformity with Regulation (EC) no. 1606/2002 of the European Parliament and of the Council, of 19 July 2002, and with all the related implementing provisions and interpretations. The separate and consolidated financial statements for 2017 were formally prepared by the directors at the Board of Directors Meeting held on 27 February 2018.

The consolidated financial statements for 2017 of the Merlin Group prepared in conformity with the IFRSs adopted by the European Union present total assets of EUR 12,005,039 thousand and equity attributable to the Parent's shareholders of EUR 5,717,659 thousand. Consolidated sales and consolidated profit attributable to the Parent in 2017 amount to EUR 463,294 thousand and EUR 1,100,418 thousand, respectively.

In view of the business activities currently carried on by the Company, it does not have any environmental liability, expenses, assets, provisions or contingencies that might be material with respect to its equity, financial position and results. Therefore, no specific disclosures relating to environmental issues are included in these notes to the financial statements.

1.1 SOCIMI regime

Merlin Properties, SOCIMI, S.A., as the Parent of its Group, is governed by Spanish Law 11/2009, of 26 October, as amended by Spanish Law 16/2012, of 27 December, governing listed real estate investment companies (SOCIMIs).

Article 3 of said Law sets out the investment requirements for these types of companies, namely:

1. SOCIMIs must have invested at least 80% of the value of their assets in urban properties earmarked for lease, in land to develop properties to be earmarked for that purpose, provided that development begins within three years following its acquisition, and in equity investments in other companies referred to in Article 2.1 of the aforementioned Law.

The value of the asset is calculated based on the average of the quarterly individual balance sheets of the year. To calculate this value, the SOCIMI may opt to substitute the carrying amount for the fair value of the items contained in these balance sheets, which will apply to all the balance sheets of the year. Any money or collection rights arising from the transfer of the aforementioned properties or investments made in the year or in prior years will not be included in the calculation unless, in the latter case, the reinvestment period referred to in Article 6 of the aforementioned Law has expired.

2. Similarly, at least 80% of the rental income from the tax period corresponding to each year, excluding the rental income arising from the transfer of the ownership interests and the properties used by the company to achieve its main corporate purpose, once the holding period referred to below has elapsed, should be obtained from the lease of properties and dividends or shares of profits arising from the aforementioned investments.

This percentage must be calculated on the basis of consolidated profit if the company is the parent of a group, in accordance with the criteria established in Article 42 of the Spanish Commercial Code, regardless of its place of residence and of the obligation to formally prepare consolidated financial statements. Such a group must be composed exclusively of the SOCIMI and the other entities referred to in Article 2.1 of this Law.

3. The properties included in the SOCIMI's assets should remain leased for at least three years. The time during which the properties have been made available for lease, up to a maximum of one year, will be included for the purposes of this calculation. This period will be calculated:

a) For properties that are included in the SOCIMI's assets before the company avails itself of the regime, from the beginning of the first tax period in which the special tax regime set forth in this Law is applied, provided that the property is leased or offered for lease at that date. Otherwise, the provisions of the following letter will apply.

b) For properties developed or acquired subsequently by the SOCIMI, from the date on which they were leased or made available for lease for the first time.

c) In the case of shares or investments in entities referred to in Article 2.1 of the aforementioned Law, they should be retained on the asset side of the SOCIMI's balance sheet for at least three years following their acquisition or, where applicable, from the beginning of the first tax period in which the special tax regime set forth in this Law is applied.

As established in transitional provision one of Spanish Law 11/2009, of 26 October, amended by Spanish Law 16/2012, of 27 December, governing listed real estate investment companies, these companies may opt to apply the special tax regime under the terms and conditions established in Article 8 of this Law, even if it does not meet the requirements established therein, provided that such requirements are met within two years after the date of the option to apply that regime.

Failure to meet this condition will require the SOCIMI to file income tax returns under the general tax regime from the tax period in which the aforementioned condition is not met, unless this situation is rectified in the following tax period. The company will also be obliged to pay, together with the amount relating to the aforementioned tax period, the difference between the amount of tax payable under the general tax regime and the amount paid under the special tax regime in the previous tax periods, including any applicable late-payment interest, surcharges and penalties.

The income tax rate for SOCIMIs was set at 0%. However, where the dividends that the SOCIMI distributes to its shareholders holding an ownership interest exceeding 5% are exempt from tax or are subject to a tax rate lower than 10%, the SOCIMI will be subject to a special charge of 19%, which will be considered to be the income tax charge, on the amount of the dividend distributed to these shareholders. If applicable, this special charge must be paid by the SOCIMI within two months after the dividend distribution date.

The transitional period in which the Company had to meet all requirements of this tax regime ended in 2017. The directors consider that the Company met all of these requirements as of 31 December 2017.

1.2 Corporate transactions - Mergers and business combinations

2017

Merger of Centros Comerciales Metropolitanos, S.A.U. and Explotaciones Urbanas Españolas, S.L.U.

On 27 June 2017, the Company's Board of Directors approved the start of the merger between Explotaciones Urbanas Españolas, S.L.U. and Centros Comerciales Metropolitanos, S.A.U., both wholly owned by the Parent, through the transfer en bloc of the assets and liabilities of both companies to Merlin Properties SOCIMI, S.A. This merger was executed on 14 October 2017 through the registration of the merger deed with the Mercantile Registry.

At the date of approval of the merger by absorption of the absorbed companies, the Company held all shares of Centros Comerciales Metropolitanos, S.A.U. and Explotaciones Urbanas Españolas, S.L.U.

From an accounting point of view, the merger is considered to have taken effect as of 1 January 2017. The transactions carried out by the absorbed company after 1 January 2017 are considered to have been performed by the absorbing company.

In accordance with prevailing legislation, the balance sheets for the year ended 31 December 2016, which were approved by the shareholders at the General Meetings of the absorbed companies held on 20 July 2017, were used as the basis for the merger. Appendix I includes the merger balance sheets of Centros Comerciales Metropolitanos, S.A.U. and Explotaciones Urbanas Españolas, S.L.U.

Recognition and Measurement Standard 21 of the Spanish National Chart of Accounts stipulates that, in general, in transactions between Group companies involving the Parent, the assets and liabilities acquired will be measured in the Group's consolidated financial statements at the amount that would correspond thereto once the transaction is completed. The values of the assets and liabilities transferred by Centros Comerciales Metropolitanos, S.A.U. and Explotaciones Urbanas Españolas, S.L.U. were therefore obtained from the amounts recognised in the consolidated financial statements at 31 December 2016, previously reconciled with the measurement and recognition principles established by the Spanish National Chart of Accounts and the standards for preparing consolidated financial statements.

The balance sheet at 31 December 2016 of Centros Comerciales Metropolitanos, S.A.U. for consolidation purposes was as follows:

	Thousands of euros		
	Individual carrying amount	Valuation adjustments	Consolidated carrying amount
Non-current investments in Group companies and associates	49,120	34,450	83,570
Non-current assets	27	-	27
Current assets	4,899	-	4,899
Non-current and current liabilities	(51,171)	-	(51,171)
Total net assets	2,875	34,450	37,325
Consideration transferred			36,262
Merger reserves			1,013

The balance sheet at 31 December 2016 of Explotaciones Urbanas S.L.U. for consolidation purposes was as follows:

	Thousands of euros		
	Individual carrying amount	Valuation adjustments	Consolidated carrying amount
Non-current investments in Group companies and associates	27,733	30,134	57,866
Non-current assets	5	-	5
Current assets	15,650	-	15,650
Non-current and current liabilities	(42,434)	-	(42,434)
Total net assets	954	30,134	31,087
Consideration transferred			31,087
Merger reserves			-

Centros Comerciales Metropolitanos, S.A.U. and Explotaciones Urbanas Españolas were included in the Merlin Group in 2016 through the inclusion of the property business of Metrovacesa, S.A. The main asset held by both companies consisted of ownership interest in the share capital of other Metrovacesa, S.A. (La Vital Centro Comercial y de Ocio, Metropolitana Castellana and Paseo Comercial Carlos III) companies, engaging mainly in real estate activities.

In 2016, a total of EUR 64,634 thousand, relating to a portion cost of the business combination, was assigned to the aforementioned investments in the business combination of Merlin Properties SOCIMI, S.A. and the inclusion of the property business of Metrovacesa, S.A.

These values were assigned in accordance with the valuations carried out by independent third-party experts

These mergers qualified for the special tax regime envisaged in Chapter VII of Title VII of Article 89 of the Spanish Law 27/2014, of 27 November, on Corporation Tax. The merged companies did not have any depreciable assets. The taxable profit received by the Company relates mainly to the tax losses that the absorbed company Centros

Comerciales Metropolitanos, S.A.U. had yet to offset (see Appendix III).

Furthermore, in 2017 Metrovacesa France, S.A.S., Metrovacesa Méditerranée S.A.S. and Metrovacesa Access Tower GmbH were dissolved, the effect on equity of which entailed an increase of EUR 616 thousand in reserves. The Company did not receive any taxable profit from the dissolved companies.

2016

Integration agreement with Metrovacesa, S.A.

On 21 June 2016, the Company signed an integration agreement with Metrovacesa, S.A. and its main shareholders (Banco Santander, S.A., Banco Bilbao Vizcaya Argentaria, S.A. and Banco Popular Español, S.A.) for the purpose of creating the largest Spanish real estate rental property group. On 26 August 2016, the merger was approved by the Spanish anti-trust authorities and on 15 September 2016 by the shareholders at the Annual General Meetings of the Company and Metrovacesa, S.A. The resolutions passed at the respective AGMs were registered in the Mercantile Registry on 26 October 2016.

The transaction was arranged through the total spin-off of Metrovacesa, S.A, thereby dissolving this company, and incorporating the property business unit of Metrovacesa into the Company, consisting of the non-residential properties intended for lease (including the staff of the Metrovacesa group and the properties, shares or interests in subsidiaries or investees, contracts and, in general, all assets and liabilities of Metrovacesa associated with tertiary assets, except for EUR 250 million in debt). As consideration for the business received, the Company carried out a capital increase through the issue of 146,740,750 shares of EUR 1 par value each, with an share premium of EUR 10.40 per share issued. This increase was subscribed in full by the shareholders of Metrovacesa, S.A., with an exchange ratio of one share of Merlin Properties SOCIMI, S.A. for every 20.95722 shares of Metrovacesa, S.A. As a result of this transaction, the shareholders of Metrovacesa, S.A. acquired 31.237% of the Parent's share capital.

This business combination may be summarised as follows:

	Thousands of euros		
	Carrying amount	Valuation adjustments	Fair value
Concession projects	87,239	81	87,320
Investment property	1,517,037	863,357	2,380,394
Non-current investments in Group companies and associates	111,151	262,302	373,453
Loans to associates	245,821	-	245,821
Other non-current assets	15,650	-	15,650
Deferred tax assets	403,646	(296,442)	107,204
Current assets	474,972	-	474,972
Deferred tax liabilities	-	(292,791)	(292,791)
Non-current liabilities	(1,782,582)	-	(1,782,582)
Current liabilities	(86,526)	-	(86,526)
Total net assets	986,408	536,507	1,522,915
Consideration transferred (a)			1,449,799
Profit from the purchase			73,116

(a) The fair value of the consideration transferred was calculated by applying the share price (EUR 9.88) at 15 September 2016, the date of the takeover, to the shares issued (146,740,750). The integration agreement for the property business of Metrovacesa, S.A. does not include any type of contingent consideration.

The Company's directors initially allocated the cost of the business combination that was finally accrued, whereby the difference between the cost of the business combination and the fair value of the net assets acquired represented a gain amounting to EUR 73,116 thousand, which was included under "Negative goodwill on business combinations" in the income statement for 2016.

To estimate the fair value of the net assets of the property business of Metrovacesa, S.A., the Company used the appraisals of the acquired assets (mainly property assets) carried out by independent experts. The financial statements for 2016 detail the list of acquired assets that were included in the accounting records of Merlin Properties SOCIMI, S.A. for a value different than that which appears in the spun-off company.

The Company recognised an adjustment amounting to EUR 296,442 thousand in relation to the fair value of the deferred tax assets, as it considers that it is not likely to be recovered as a result of the SOCIMI regime to which the Company is subject.

The taxable profit received by the extinguished company relates mainly to prior years' tax losses and tax credits for reinvestment that the extinguished company had yet to offset. The detail of this taxable profit is broken down in the financial statements for 2016.

The costs associated with the transaction amounted to EUR 9,658 thousand and were recognised under "Other operating expenses" in the accompanying income statement for 2016.

The fair value of the receivables acquired, which are mainly trade receivables, amounted to EUR 19,036 thousand and did not differ from the gross contractual amounts. The Company's directors did not consider there to be any indications at the date of acquisition that these receivables would not be collected in full.

The net profit and income generated by the commercial property business of Metrovacesa, S.A. incorporated in 2016 and included in the income statement for 2016 amount to EUR 9,122 thousand and EUR 31,116 thousand, respectively.

Had the two businesses been acquired on 1 January 2016, net profit would have increased by EUR 21,416 thousand and the revenue contributed to the Company would have been approximately EUR 76,271 thousand higher compared to the figures in these consolidated financial statements. When calculating these amounts, the directors considered that the revenue generated and expenses incurred between 1 January 2016 and the acquisition date, along with the acquisition costs, did not vary.

Net cash flow from the acquisition

	Thousands of Euros
Cash paid	-
Less: cash and cash equivalents	(28,035)
Total	(28,035)

Merger of Testa Inmuebles en Renta SOCIMI, S.A.

On 21 June 2016, the Boards of Directors of the Company and of Testa Inmuebles en Renta SOCIMI, S.A. approved the merger by absorption of Testa Inmuebles en Renta SOCIMI, S.A. by the Company, through the transfer en bloc of the former's assets and liabilities to the latter. On 6 September 2016, the shareholders at the General Shareholders' Meeting of Testa Inmuebles en Renta, SOCIMI, S.A. approved the merger. On 14 October 2016, the merger deed was registered with the Mercantile Registry.

At the date of approval of the merger at the General Shareholders' Meeting of the absorbed company, the Company owned 153,858,636 shares, representing 99.93% of its share capital. This meant that the share capital owned by third parties consisted of 109,082 shares, representing 0.07% of share capital.

In accordance with current legislation, the Company offered the minority shareholders of the absorbed company the opportunity to acquire their shares. The exchange carried out was 1,222 shares of Merlin Properties SOCIMI, S.A. for every share of Testa Inmuebles en Renta SOCIMI, S.A.

From an accounting point of view, the merger is considered to have taken effect as of 1 January 2016. The transactions carried out by the absorbed company after 1 January 2016 are considered to have been performed by the absorbing company. Under the terms of the merger, all employees of the absorbed company were transferred to the absorbing company, in accordance with the company succession regime regulated in Article 44 of the Workers' Statute.

In accordance with prevailing legislation, the balance sheets for the year ended 31 December 2015, which were approved by the shareholders at the General Meetings of the absorbed company and of Merlin Properties SOCIMI, S.A. held on 4 and 6 April 2016, respectively, were used as the basis for the merger. Appendix II includes the merger balance sheet of Testa Inmuebles en Renta SOCIMI, S.A.

Recognition and Measurement Standard 21 of the Spanish National Chart of Accounts stipulates that, in general, in transactions between Group companies involving the Parent, the assets and liabilities acquired will be measured in the Group's consolidated financial statements at the amount that would correspond thereto once the transaction is completed. The values of the assets and liabilities transferred by Testa Inmuebles en Renta SOCIMI, S.A. were therefore obtained from the amounts recognised in the consolidated financial statements at 31 December 2015, previously reconciled with the measurement and recognition principles established by the Spanish National Chart of Accounts and the standards for preparing consolidated financial statements.

This merger can be summarised as follows:

	Thousands of euros		
	Carrying amount	Valuation adjustments	Fair value
Goodwill	-	270,035	270,035
Investment property	1,819,485	839,616	2,659,101
Investments in Group companies and associates	119,147	295,090	414,237
Other non-current assets	27,607	-	27,607
Deferred tax assets	11,282	-	11,282
Current assets	206,148	-	206,148
Non-current liabilities	(353,832)	(203,921)	(557,753)
Current liabilities	(1,354,293)	-	(1,354,293)
Total net assets	475,544	1,200,820	1,676,364
Consideration transferred			1,987,920
Merger reserves			(311,556)

The main difference between the values of the assets and liabilities included in the consolidated and separate financial statements arises from the different treatment applied to the measurement of property assets and goodwill. In preparing the consolidated financial statements, the Company applies the fair value criteria included under IAS 40, an option that is applicable under the Spanish National Chart of Accounts. In the process of recognising impairment at the purchase date, the Company used valuations of the acquired assets (mainly property assets) carried out by independent experts. As a result of these appraisals, the value of Testa's assets was adjusted by EUR 1,404,741 thousand. The tax effect estimated by the Company's directors associated with the recognition of the aforementioned increase in value amounted to EUR 203,921 thousand. Appendix III details the list of acquired assets that were included in the accounting records of Merlin Properties SOCIMI, S.A. for a value different than that which appears in the absorbed company.

This transaction qualified for the special tax regime envisaged in Chapter VII of Title VII of Article 89 of the Spanish Law 27/2014, of 27 November, on Corporation Tax. The taxable profit received by the Company related mainly to tax credits for reinvestment and double taxation of dividends that the absorbed company had yet to offset. The detail of this taxable profit is included in the financial statements for 2016.

2. Basis of presentation of the financial statements

2.1 Regulatory financial reporting framework applicable to the Company

These financial statements were prepared by the directors in accordance with the regulatory financial reporting framework applicable to the Company, which consists of:

- The Spanish Commercial Code and all other Spanish corporate law.
- The Spanish National Chart of Accounts approved by Royal Decree 1514/2007 and its industry adaptations.
- The mandatory rules approved by the Spanish Accounting and Audit Institute in order to implement the Spanish National Chart of Accounts and its supplementary rules.
- Spanish Law 11/2009, of 26 October, as amended by Spanish Law 16/2012, of 27 December, governing listed real estate investment companies (SOCIMIs).
- All other applicable Spanish accounting legislation.

The figures included in the financial statements are expressed in thousands of euros.

2.2 Fair presentation

The accompanying financial statements for 2017, which were obtained from the Company's accounting records, are presented in accordance with Royal Decree 1514/2007 approving the Spanish National Chart of Accounts, as well as the amendments made thereto by Royal Decree 1159/2010, and, accordingly, present fairly the Company's equity, financial position, results of operations and cash flows for 2017.

These financial statements, which were formally prepared by the Board of Directors, will be submitted for approval by the shareholders at the Annual General Meeting, and it is considered that they will be approved without any changes.

2.3 Accounting principles applied

The directors formally prepared these financial statements taking into account all the obligatory accounting principles and standards with a significant effect hereon. All obligatory accounting principles were applied. No non-obligatory accounting principles were applied.

2.4 Key issues in relation to the measurement and estimation of uncertainty

In preparing the Company's financial statements, the directors made estimates based on past experience and other factors that are deemed to be reasonable in view of the current circumstances and that constitute the basis for establishing the carrying amount of the assets and liabilities whose value is not easily determinable through other sources. These estimates relate basically to the following:

1. The market value of the net assets acquired in business combinations (see Note 5).
2. The market value of the Group's property assets (see Note 4.3). The Group obtained valuations from independent experts at 31 December 2017.
3. Impairment losses on goodwill (see Note 4.1).
4. The assessment of possible impairment losses on certain assets (see Notes 4.1, 4.2, 4.3 and 4.5).
5. The fair value of certain financial instruments (see Note 4.6).
6. The assessment of provisions and contingencies (see Note 4.9).
7. Management of financial risk and, in particular, of liquidity risk (see Note 22).

8. The recovery of deferred tax assets and the tax rate applicable to temporary differences (see Note 4.11).
9. Definition of the transactions carried out by the Company as a business combination in accordance with Recognition and Measurement Standard 19 or as an acquisition of assets.
10. Compliance with the requirements that govern listed real estate investment companies.

Although these estimates were made on the basis of the best information available at 2017 year-end, events that take place in the future might make it necessary to change these estimates (upwards or downwards) in coming years. Changes in accounting estimates would be applied prospectively.

2.5 Grouping of items

Certain items in the balance sheet, income statement, statement of changes in equity and statement of cash flows are grouped together to facilitate their understanding; however, whenever the amounts involved are material, the information is broken down in the related notes to the financial statements.

2.6 Correction of errors

In preparing the accompanying financial statements no significant errors were detected that would have made it necessary to restate the amounts included in the financial statements for 2016.

2.7 Changes in estimates and accounting policies

- The effect of any change in accounting estimates is recognised under the same income statement line item as that in which the expense or income based on the previous estimate had been recognised prospectively.
- Changes in accounting policies and correction of errors: the effects of changes and corrections of this kind are recognised as follows: if material, the cumulative effect at the beginning of the year is adjusted under "Reserves" and the effect for the current year is recognised in the income statement. In these cases, the financial data for the comparative year presented together with those for the current year are restated.

2.8 Comparative information

For comparison purposes the directors present, in addition to the figures for 2017 for each item in the balance sheet, income statement, statement of changes in equity, statement of cash flows and notes to the financial statements, the figures for 2016.

3. Distribution of profit

The distribution of profit for the year proposed by the Company's directors for approval by its shareholders at the Annual General Meeting is as follows:

	Euros
Profit for the year	114,535
Distribution:	
Legal reserve	11,454
Interim dividend	93,457
Dividends	9,624

Interim dividend

On 9 October 2017, the Company's Board of Directors resolved to distribute EUR 93,457 thousand as an interim

dividend with a charge to profit for 2017. This interim dividend was paid to shareholders on 25 October 2017.

The provisional accounting statement prepared in accordance with legal requirements evidencing the existence of sufficient liquidity for the distribution of the dividends was as follows:

	Thousands of euros
Profit before tax at 30 September 2017	109,078
Less: required transfer to the legal reserve	(10,908)
Profit that may be distributed with a charge to income for 2017	98,170
Interim dividend to be distributed	93,457
Forecast of cash for the period from 30 September 2017 to 30 September 2018:	
- Cash balance at 30 September 2017	472,273
- Projected proceeds	334,899
- Projected payments, including the interim dividend.	(763,650)
Projected cash balance at 30 September 2018	43,522

Other dividends distributed

On 26 April 2016, the shareholders at the Annual General Meeting approved the distribution of a dividend out of 2016 profit in the amount of EUR 47,311 thousand, and the distribution of an additional dividend with a charge to the share premium for EUR 46,643 thousand.

3.1 Restrictions relating to the distribution of dividends

The Company is subject to the special regime for SOCIMIs. As established in Article 6 of Spanish Law 11/2009, of 26 October, amended by Spanish Law 16/2012, of 27 December, the SOCIMIs opting to pay tax under the special tax regime are required to distribute the profit generated during the year to their shareholders in the form of dividends, once the related corporate obligations have been met. This distribution must be approved within six months from each year-end, and the dividends paid in the month following the date on which the pay-out is agreed.

Moreover, as specified in Spanish Law 11/2009, of 26 October, amended by Spanish Law 16/2012, of 27 December, the Parent must distribute the following as dividends:

- 100% of the profit from dividends or shares in profits distributed by the entities referred to in Article 2.1 of Spanish Law 11/2009.
- At least 50% of the profit generated from the transfer of the properties, shares or investments referred to in Article 2.1 of Spanish Law 11/2009, once the periods referred to in Article 3.2 of Spanish Law 11/2009 have elapsed, subject to compliance with its main corporate purpose. The rest of the profit must be reinvested in other properties or shares subject to compliance with this purpose, within a period of three years following the date of transfer. Failing this, the profit must be distributed in full together with, if applicable, the profit generated during the year in which the reinvestment period ends. If the items to be reinvested are transferred prior to the end of the holding period, that profit must be distributed in full together with, if applicable, the profit generated during the year in which the items were transferred. The obligation to distribute profit does not apply to the portion of the profit attributable to prior years in which the Company was not included under the special tax regime established in this Law.
- At least 80% of the rest of the profit obtained. When dividend distributions are charged to reserves generated from profits in a year in which the special tax regime applied, the distribution must necessarily be approved as set out above.

4. Accounting policies and measurement bases

The principal accounting policies and measurement bases applied by the Company in preparing its financial statements for 2017 were as follows:

4.1 Intangible assets

As a general rule, intangible assets are recognised initially at acquisition or production cost. They are subsequently measured at cost less any accumulated amortisation and any accumulated impairment losses. These assets are amortised over their useful life. When the useful life of these assets cannot be estimated reliably, they will be amortised over a period of ten years.

The gains or losses arising from the derecognition of an intangible asset are calculated as the difference between the net profit obtained on the sale and the carrying amount of the asset, and are recognised in the consolidated income statement when the asset is derecognised.

Goodwill

Goodwill is recognised as an asset when it arises in an acquisition for valuable consideration in the context of a business combination. Goodwill is allocated to the cash-generating units to which the economic benefits of the business combination are expected to flow. After initial recognition, goodwill is measured at acquisition cost less any accumulated depreciation and any recognised accumulated impairment losses. In accordance with applicable legislation, the useful life of the goodwill is 10 years and it is amortised on a straight-line basis.

These cash-generating units are analysed at least once a year for indications of impairment and, if such indications exist, they are tested for impairment in accordance with the methodology indicated below and the corresponding impairment loss is recognised.

Impairment losses recognised for goodwill must not be reversed in a subsequent period.

Specifically, the Company recognises under "Goodwill" the goodwill that arose on the merger by absorption in 2016 of Testa Inmuebles en Renta SOCIMI, S.A.

Computer software

The computer software acquired or developed by the Company is recognised at acquisition or production cost and, where applicable, amortised on a straight-line basis over four years. Computer software maintenance costs are recognised with a charge to the income statement for the year in which they are incurred.

Concession projects

This heading includes administrative concessions that are recognised at acquisition or production cost less any accumulated amortisation and any accumulated impairment losses.

Administrative concessions are recognised at the amount paid by the Company in operating fees and are amortised on a straight-line basis over the years of the concession.

The gains or losses arising from the derecognition of a concession project are calculated as the difference between the net profit obtained on the sale and the carrying amount of the asset, and are recognised in the income statement when the asset is derecognised.

Impairment of intangible assets, property, plant and equipment and investment property

Whenever there are indications of impairment of assets with a finite useful life (i.e. all the Company's intangible assets, property, plant and equipment, and investment property), the Company tests the tangible and intangible assets for impairment to determine whether the recoverable amount of the assets has been reduced to below their carrying amount.

The recoverable amount is the higher of fair value less costs to sell. In particular, the recoverable amount for virtually all assets and investment property is determined based on the evaluation of an independent expert (see Note 8).

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised in prior years. This impairment loss reversal is recognised as income, except in the case of goodwill, as mentioned in this note.

4.2 Property, plant and equipment

Property, plant and equipment are initially recognised at acquisition or production cost, at which the amount of the additional or supplementary investments made are included, and are subsequently reduced by the related accumulated depreciation and by any impairment losses recognised, as indicated in Note 4.1.

The revaluation surpluses or net increases in value resulting from revaluations and the assignments of gains as a result of business combinations are depreciated over the tax periods in the remaining useful lives of the revalued assets.

Property, plant and equipment upkeep and maintenance expenses are recognised in the income statement for the year in which they are incurred. However, the costs of improvements leading to increased capacity or efficiency or to a lengthening of the useful lives of the assets are capitalised.

For non-current assets that necessarily take a period of more than twelve months to get ready for their intended use, the capitalised costs include such borrowing costs as might have been incurred before the assets are ready for their intended use and that have been charged by the supplier or relate to loans or other specific-purpose or general-purpose borrowings directly attributable to the acquisition or production of the assets.

Work carried out by the Company on property, plant and equipment is recorded at accumulated cost (external costs plus in-house costs, determined on the basis of in-house materials consumption, and manufacturing costs allocated the same criteria as those used for measuring inventory).

The depreciation charge for property, plant and equipment is calculated using the straight-line method based on the years of estimated useful life of the assets. The annual depreciation rates applied to the respective values at the revalued cost, where applicable, and the years of estimated useful life are as follows:

	Years of estimated useful life
Buildings for lease	50 – 75
Other fixtures	10-18
Furniture	10
Computer hardware	4
Other items of property, plant and equipment	4-5

Property, plant and equipment in progress is not depreciated until it enters into operation, at which time it is transferred to the corresponding property, plant and equipment account according to its nature.

4.3 Investment property

“Investment Property” in the balance sheet reflects the values of the land, buildings and other structures held either to earn rentals or for capital appreciation.

Depreciation of these items is carried out systematically and rationally based on the useful life of the assets and

their residual value, based on the normal decline in value caused by their use and by wear and tear, without prejudice to the technological or commercial obsolescence that may also affect the assets. The straight-line method is used to calculate the depreciation of investment property based on its estimated useful life (see Note 4.2).

Investment property is measured as described in Note 4.2 on property, plant and equipment.

The Company estimates the impairment losses on its investment property on the basis of the fair value obtained in the appraisal performed by the independent expert. The methodology used to determine the fair value of the assets is detailed in Note 7.

4.4 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards incidental to ownership of the leased asset to the lessee.

All other leases are classified as operating leases.

Finance leases:

In finance leases in which the Company acts as the lessee, the cost of the leased assets is presented in the balance sheet, based on the nature of the leased asset, and, simultaneously, a liability is recognised for the same amount. This amount will be the lower of the fair value of the leased asset and the present value, at the inception of the lease, of the agreed minimum lease payments, including the price of the purchase option when it is reasonably certain that it will be exercised.

The minimum lease payments do not include contingent rent, costs for services and taxes to be paid by and reimbursed to the lessor.

The total finance charges arising under the lease are allocated to the income statement for the year in which they are incurred using the effective interest method.

Contingent rent is recognised as an expense for the period in which it is incurred.

There are no finance leases in which the Company acts as lessor.

Operating leases:

In operating leases, the ownership of the leased asset and substantially all the risks and rewards relating to the leased assets remain with the lessor.

If the Company acts as the lessor, income and costs arising under operating leases are allocated to the income statement for the year in which they are incurred. Also, the acquisition cost of the leased asset is presented in the balance sheet according to the nature of the asset, increased by the costs directly attributable to the lease, which are recognised as an expense over the lease term, applying the same method as that used to recognise lease income.

If the Company acts as the lessee, costs arising under operating leases are allocated to the income statement for the year in which they are incurred. Any collection or payment that might be made when arranging an operating lease will be treated as a prepaid lease collection or payment that will be allocated to profit or loss over the lease term in accordance with the time pattern in which the benefits of the leased asset are provided or received.

Any collection or payment that might be made when arranging an operating lease will be treated as a prepaid lease collection or payment that will be allocated to profit or loss over the lease term in accordance with the time pattern in which the benefits of the leased asset are provided or received.

4.5 Financial assets

Classification

The financial assets held by the Company are classified in the following categories:

- a) Loans and receivables: financial assets arising from the sale of goods or the rendering of services in the ordinary course of the Company's business, or financial assets that, not having commercial substance, are not equity instruments or derivatives, have fixed or determinable payments and are not traded in an active market. Interest income is calculated in the year in which it accrues on a time proportion basis.
- b) Equity investments in Group companies, associates and jointly controlled entities: Group companies are deemed to be those related to the Company as a result of a relationship of control and associates are companies over which the Company exercises significant influence. Jointly controlled entities include companies over which, by virtue of an agreement, the Company exercises joint control with one or more other investors.
- c) Held-to-maturity investments: debt securities with fixed maturity and determinable payments that are traded in an active market and that the Company has the positive intention and ability to hold to the date of maturity.
- d) Held-for-trading financial assets: assets acquired with the intention of selling them in the near term and assets that form part of a portfolio for which there is evidence of a recent actual pattern of short-term profit-taking. This category also includes financial derivatives that are not financial guarantees and that have not been designated as hedging instruments.

Initial recognition

Financial assets are initially recognised, in general, at the fair value of the consideration given, plus any directly attributable transaction costs.

In the case of equity investments in Group companies affording control over the subsidiary, since 1 January 2010 the fees paid to legal advisors and other professionals relating to the acquisition of the investment have been recognised directly in profit or loss.

Subsequent measurement

Loans and receivables and held-to-maturity investments are measured at amortised cost.

Financial assets held for trading are measured at fair value and the gains or losses arising from changes in fair value are recognised in the income statement.

Investments in Group companies and associates and interests in jointly controlled entities are measured at cost net, where appropriate, of any accumulated impairment losses. These losses are calculated as the difference between the carrying amount of the investments and their recoverable amount. Recoverable amount is the higher of fair value less costs to sell and the present value of the future cash flows from the investment. Unless there is better evidence of the recoverable amount, it is based on the value of the equity of the investee, adjusted by the amount of the unrealised gains existing at the date of measurement (including any goodwill).

In the case of Group companies with an equity deficit, the Company follows the policy of recognising provisions for this equity deficit.

At least at each reporting date the Company tests financial assets not measured at fair value through profit or loss for impairment. Objective evidence of impairment is considered to exist when the recoverable amount of the financial asset is lower than its carrying amount. When this occurs, the impairment loss is recognised in the income statement.

The Company derecognises a financial asset when it expires or when the rights to the cash flows from the financial asset have been transferred and substantially all the risks and rewards of ownership of the financial asset have

been transferred, such as in the case of firm asset sales, factoring of trade receivables in which the Company does not retain any credit or interest rate risk, sales of financial assets under an agreement to repurchase them at fair value and the securitisation of financial assets in which the transferor does not retain any subordinated debt, provide any kind of guarantee or assume any other kind of risk.

However, the Company does not derecognise financial assets, and recognises a financial liability for an amount equal to the consideration received in transfers of financial assets in which substantially all the risks and rewards of ownership are retained, such as in the case of note and bill discounting, with-recourse factoring, sales of financial assets subject to an agreement to buy them back at a fixed price or at the selling price plus a lender's return and the securitisation of financial assets in which the transferor retains a subordinated interest or any other kind of guarantee that absorbs substantially all the expected losses.

4.6 Financial liabilities

Financial liabilities include accounts payable by the Company that have arisen from the purchase of goods or services in the normal course of the Company's business and those that, not having commercial substance, cannot be classed as derivative financial instruments.

Accounts payable are initially recognised at the fair value of the consideration received, adjusted by the directly attributable transaction costs. These liabilities are subsequently measured at amortised cost.

Liability derivative financial instruments are measured at fair value using the same methods as those described above for held-for-trading financial assets.

The Company derecognises financial liabilities when the obligations giving rise to them cease to exist.

4.7 Equity instruments

An equity instrument is a contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities. Equity instruments issued by the Company are recognised in equity at the proceeds received, net of issue costs.

The equity instruments acquired by the Company are recognised separately at acquisition cost and deducted from equity in the balance sheet, regardless of why they were acquired. No gains or losses from transactions involving own equity instruments are recognised in the consolidated income statement.

If the Company's own equity instruments are subsequently retired, capital is reduced by the nominal amount of these treasury shares and the positive or negative difference between the acquisition price and nominal amount of the shares is debited from or credited to reserves.

The transaction costs related to own equity instruments are recognised as a decrease in equity, net of any related tax effect.

4.8 Termination benefits

Under current legislation, the Company is required to pay termination benefits to employees terminated under certain conditions. Therefore, termination benefits that can be reasonably quantified are recognised as an expense in the year in which the decision to terminate the employment relationship is taken.

At 31 December 2016, the Group had a commitment in this regard arising from the collective redundancy procedure announced on 20 December 2016 and that affected 52 employees. These termination benefits were paid in 2017 and there is no other plan of this nature in force.

4.9 Provisions and contingencies

When preparing the financial statements the Company's directors made a distinction between:

- a) Provisions: credit balances covering present obligations arising from past events, the settlement of which is likely to give rise to an outflow of resources, but that are uncertain as to their amount and/or timing.
- b) Contingent liabilities: possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more future events not wholly within the Company's control.

The financial statements include all the provisions with respect to which it is considered that it is more likely than not that the obligation will have to be settled. Unless they are considered unlikely, contingent liabilities are not recognised in the financial statements, but rather are disclosed.

Provisions are measured at the present value of the best possible estimate of the amount required to settle or transfer the obligation, taking into account the information available on the event and its consequences. Where discounting is used, adjustments made to provisions are recognised as finance cost on an accrual basis.

The compensation to be received from a third party on settlement of the obligation is recognised as an asset, provided that there are no doubts that the reimbursement will take place, unless there is a legal relationship whereby a portion of the risk has been externalised as a result of which the Company is not liable; in this situation, the compensation will be taken into account for the purpose of estimating the amount of the related provision that should be recognised.

4.10 Share-based payments

The Company recognises, on the one hand, the goods and services received as an asset or as an expense, depending on their nature, when they are received and, on the other, the related increase in equity, if the transaction is equity-settled, or the related liability if the transaction is settled with an amount based on the value of the equity instruments.

In the case of equity-settled transactions, both the services rendered and the increase in equity are measured at the fair value of the equity instruments granted, by reference to the grant date. In the case of cash-settled share-based payments, the goods and services received and the related liability are recognised at the fair value of the latter, by reference to the date on which the requirements for recognition are met.

At 31 December 2017, the Company had awarded certain employees a remuneration plan based on the delivery of the Company's shares. This plan is tied to the achievement of certain levels of return for shareholders (see Note 18).

4.11 Income tax

4.11.1 General regime

Tax expense (tax income) comprises current tax expense (current tax income) and deferred tax expense (deferred tax income).

The current income tax expense is the amount payable by the Company as a result of income tax settlements for a given year. Tax credits and other tax benefits, excluding tax withholdings and prepayments, and tax loss carryforwards from prior years effectively offset in the current year reduce the current income tax expense.

The deferred tax expense or income relates to the recognition and derecognition of deferred tax assets and liabilities. These include temporary differences measured at the amount expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities and their tax bases, and tax loss and tax credit carryforwards. These amounts are measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled.

Deferred tax liabilities are recognised for all taxable temporary differences, unless the temporary difference arises from the initial recognition of goodwill, goodwill for which amortisation is not deductible for tax purposes or the initial recognition of other assets and liabilities in a transaction that affects neither accounting profit (loss) nor taxable

profit (tax loss).

Deferred tax assets are recognised for temporary differences to the extent that it is considered probable that the Company will have sufficient taxable profits in the future against which the deferred tax asset can be utilised, and the deferred tax assets do not arise from the initial recognition of other assets and liabilities in a transaction that affects neither accounting profit (loss) nor taxable profit (tax loss). The other deferred tax assets (tax loss, temporary differences and tax credit carryforwards) are only recognised if it is considered probable that the Company will have sufficient future taxable profits against which they can be utilised.

The deferred tax assets recognised are reassessed at the end of each reporting period and the appropriate adjustments are made to the extent that there are doubts as to their future recoverability. Also, unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that they will be recovered through future taxable profits.

4.11.2 SOCIMI regime

The special tax regime for SOCIMIs, as amended by Spanish Law 16/2012 of 27 December, is based on the application of a 0% income tax rate, provided certain requirements are met. Particularly noteworthy is the requirement that at least 80% of its assets must be made up of urban properties intended for lease and acquired through full ownership or through shareholdings in Spanish or foreign companies, regardless of whether or not they are listed on organised markets, that meet the same investment and profit distribution requirements. Likewise, the main sources of income for these entities must come from the real estate market, either through leasing the properties, their subsequent sale after a minimum lease period, or the income generated from shareholdings in entities with similar characteristics. However, tax is accrued in proportion to the dividend distributed. The dividends received by the shareholders will be exempt, unless the shareholder receiving such dividends is a legal entity subject to income tax or a permanent establishment of a foreign company, in which case a tax credit is received, and this income is taxed at the tax rate of the shareholder. However, the other income will not be taxed as long as it is not distributed to the shareholders.

As established in Transitional Provision Nine of Spanish Law 11/2009, of 26 October, amended by Spanish Law 16/2012, of 27 December, governing listed real estate investment companies (SOCIMIs), the company will be subject to a special tax rate of 19% on the total dividends or shares in profit distributed to shareholders that have an ownership interest in the company's share capital equal to or greater than 5%, when these dividends, in reference to the shareholders, are exempt or are taxed at a rate less than 10%. Accordingly, the Company has established a procedure that guarantees confirmation by shareholders of their tax status, and withholds, where appropriate, 19% of the dividend distributed to shareholders that do not meet the aforementioned tax requirements.

4.12 Revenue and expenses

Revenue and expenses are recognised on an accrual basis, i.e. when the actual flow of the related goods and services occurs, regardless of when the resulting monetary or financial flow arises. Revenue is measured at the fair value of the consideration received, net of discounts and taxes.

Interest and dividends received from financial assets

The Company's income that relates to dividends received from investees, in accordance with Ruling no. 2 of the Official ICAC Gazette no. 79/2009, on the classification for accounting purposes in separate financial statements of income and expenses of holding companies, is recognised as revenue for this company, as its ordinary business activities include the management and administration of investments in other companies.

Interest and dividends from financial assets accrued after the date of acquisition are recognised as income in the income statement. Interest is recognised using the effective interest method and dividends are recognised when the right to receive them is declared.

For these purposes, unmatured accrued explicit interest as well as the dividends agreed upon by the competent body at the time of acquisition are independently recognised, by maturity, when the financial assets are initially recognised. Explicit interest is understood to be that obtained when applying the contractual interest rate of a financial instrument.

If the dividends distributed clearly originate from profit generated prior to the date of acquisition, as a result of the amounts distributed being greater than the profit generated by the investee since then, they are not recognised as income and the carrying amount of the investment is reduced.

Revenue from sales and services

Revenue from sales is recognised when the significant risks and rewards of ownership of the goods sold have been transferred to the buyer, and the Company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold.

Revenue arising from variable rental income, which is calculated based on the sales of the lessees at the leased premises, is accrued on a regular basis by virtue of the most recent known sales data, given that the income can be reliably measured at this time, and is invoiced once the final sales data for the year is available.

Rental income is recognised on an accrual basis and incentives and the initial costs of the lease agreements are allocated to income on a straight-line basis.

Interest income from financial assets is recognised using the effective interest method and dividend income is recognised when the shareholder's right to receive payment has been established. In any case, interest and dividends from financial assets accrued after the date of acquisition are recognised as income in the income statement.

4.13 Classification of assets and liabilities as current and non-current

Assets and liabilities are classified in the balance sheet as current and non-current. For this purpose, assets and liabilities are classified as current when they are associated with the Company's normal operating cycle and when they will foreseeably be sold, used, realised or settled within a maximum of one year; non-current assets and liabilities are different from the foregoing and will foreseeably mature, be sold or realised within a period of more than one year

4.14 Related party transactions

The Company carries out all its transactions with related parties at market values and in accordance with the contractual terms. The Company's directors consider that there are no material risks in this connection that might give rise to significant liabilities in the future.

4.15 Environmental assets and liabilities

Environmental assets are deemed to be assets used on a lasting basis in the Company's operations whose main purpose is to minimise environmental impact and protect and improve the environment, including the reduction or elimination of future pollution.

Because of their nature, the Company's business activities do not have a significant environmental impact.

4.16 Business combinations

Business combinations are accounted for using the acquisition method, to which end the acquisition date and cost of the business combination are determined, whereby the identifiable assets acquired and liabilities assumed are measured at their acquisition-date fair value.

Goodwill or the loss on the combination is the difference between the fair values of the assets acquired and liabilities assumed recognised and the cost of the business combination all at the aforementioned acquisition date.

The cost of the business combination is the sum of:

- The acquisition-date fair values of the assets transferred, liabilities incurred or assumed and equity instruments issued.

- The fair value of any contingent consideration that depends on future events or on the fulfilment of certain pre-defined conditions.

The cost of the business combination does not include expenses relating to the issuance of equity instruments offered or financial liabilities delivered in exchange for the items acquired.

Also, the cost of a business combination does not include the fees paid to legal advisers and other professionals involved in the combination, or any costs incurred internally in this connection. Such amounts are taken directly to profit or loss.

In the exceptional case in which a loss arises on the combination, it is recognised as income in the income statement.

If at the end of the year in which a combination occurs it has not been possible to complete the valuation work needed to apply the acquisition method outlined above, the combination is accounted for provisionally. These provisional amounts can be adjusted during the period necessary to obtain the required information, which in no case may exceed one year. The effects of any adjustments made during this period are accounted for retroactively, and the comparative information is modified if necessary.

Subsequent changes in the fair value of the contingent consideration are recognised in profit or loss, unless the consideration was classified as equity, in which case subsequent changes in its fair value are not recognised.

4.17 Foreign currency transactions

The Company's functional currency is the euro. Therefore, transactions in currencies other than the euro are deemed to be "foreign currency transactions" and are recognised by applying the exchange rates prevailing at the date of the transaction. At the end of each reporting period, monetary assets and liabilities denominated in foreign currencies are translated to euros at the rates then prevailing. Any resulting gains or losses are recognised directly in the income statement in the period in which they arise.

4.18 Statement of cash flows

The following terms are used in the statement of cash flows, which was prepared using the indirect method, with the meanings specified:

- Cash flows: inflows and outflows of cash and cash equivalents, which are short-term, highly liquid investments that are subject to an insignificant risk of changes in value.
- Operating activities: the principal revenue-producing activities of the Company and other activities that are not investing or financing activities.
- Investing activities: the acquisition and disposal of long-term assets and other investments not included in cash and cash equivalents.
- Financing activities: activities that result in changes in the size and composition of equity and borrowings that are not operating activities.

5. Goodwill

The goodwill recognised at 31 December 2017 arose from the merger by absorption with Testa Inmuebles en Renta, SOCIMI, S.A. in 2016. The changes in this heading in 2017 were as follows:

	Thousands of euros			
	Balance at 31/12/2016	Additions	Amortisation	Balance at 31/12/2017
Cost	208,443	-	(23,160)	185,283
Total	208,443	-	(23,160)	185,283

	Thousands of euros				
	Balance at 31/12/2015	Inclusion due to merger	Decreases	Amortisation	Balance at 31/12/2016
Cost	-	270,035	(34,589)	(27,003)	208,443
Total	-	270,035	(34,589)	(27,003)	208,443

The Company amortises goodwill over a period of 10 years and, therefore, recognised the related amortisation for the year under “Depreciation and amortisation charge” in the accompanying income statement for 2017 (EUR 27,003 thousand at 31 December 2016).

The decreases amounting to EUR 34,589 thousand that were carried out in 2016 relate mainly to the portion of goodwill assigned to the hotel asset lease business that was sold on 30 December 2016 and the assets sold in June and December 2016 referred to as “Residencia Coruña – Torre de Hércules” and “Edificio Alcalá 45”, respectively.

The Company’s directors, in accordance with their positive outlook regarding the changes in the real estate market and the business plans drawn up for the acquisition of Testa, consider that the property assets acquired will increase in market value over the coming years. The Company’s directors consider that this increase in value shows that the expectations existing at the date of the business combination were met, which is the reason the Company’s directors consider that the recovery of the goodwill is sufficiently evidenced. In this regard, at 31 December 2017 the existing gains in the property assets from Testa Inmuebles en Renta SOCIMI, S.A. amounted to EUR 672,537 thousand (EUR 414,215 thousand in 2016), as detailed as follows:

	Thousands of Euros	
	2017	2016
Carrying amount of the investment property from Testa Inmuebles en Renta SOCIMI, S.A.	2,422,458	2,388,086
Fair value of the investment property from Testa Inmuebles en Renta SOCIMI, S.A.	3,094,995	2,802,301
Unrealised gains	672,537	414,215

At 31 December 2017, the fair value of the investment property from Testa Inmuebles en Renta SOCIMI, S.A. was determined based on the appraisals performed by independent experts in accordance with the Appraisal and Valuation Standards issued by the Royal Institution of Chartered Surveyors (RICS) of the United Kingdom and the International Valuation Standards (IVS) issued by the International Valuation Standards Committee (IVSC).

As a general rule, the expert appraisers applied the discounted cash flow method for rental property assets. This methodology consists of estimating the future net income of each property based on the historical information available and the market studies carried out. These projections are updated at the valuation date, using an internal rate of return or opportunity costs in making this investment, taking into account market risk and the risks inherent

to the company. Once the projection period has elapsed (between 7 and 10 years), the asset is sold under market conditions, such that the residual value is obtained, capitalising in perpetuity the standardised net income obtained by the asset over the last period. This residual value is capitalised at an exit yield rate that reflects the investment projections for the market in the future.

6. Concession projects

The changes in concession projects at year-end 2017 are as follows:

	Thousands of euros
Balance at 31 December 2015	-
Additions due to business combinations (Note 1.2)	87,320
Depreciation charge	(428)
Balances at 31 December 2016	86,892
Additions	255
Depreciation charge	(1,802)
Balance at 31 December 2017	85,345

In 2016, after the integration of the commercial assets of Metrovacesa, S.A., the Company added the La Fiura shopping centre located in Reus (Tarragona), which entered into service in November 2015. This shopping centre is operated under an administrative concession granted by the Reus Municipal Council for a maximum term of 50 years, maturing in 2065. The depreciation charge for 2017 amounted to EUR 1,802 thousand (EUR 428 thousand in 2016).

These assets were included in the balance sheet at the fair value determined by independent experts at the date of purchase.

Accordingly, based on the appraisals carried out by independent experts, the Company's directors consider that the fair value of the administrative concessions is greater than the carrying amount at 31 December 2017.

At 31 December 2017, there were no intangible assets provided as collateral for any obligation.

At 31 December 2017 there were no significant investment obligations for the development of the Reus shopping centre (Tarragona) following its entry into service.

There were no fully depreciated assets at 31 December 2017.

7. Investment property

The breakdown of and changes in this heading in 2017 are as follows:

	Thousands of euros			
	31/12/2016	Additions / Charge for the year	Disposals	31/12/2017
Cost: Buildings for lease	4,620,722	223,822	(15,606)	4,828,938
Accumulated depreciation: Buildings for lease	(25,724)	(38,453)	190	(63,987)
Impairment: Buildings for lease	(6,805)	(39,350)	-	(46,155)
Investment property	4,588,193	146,019	(15,416)	4,718,796

	Thousands of euros					
	31/12/2015	Additions due to mergers	Additions due to business combinations	Additions / Charge for the year	Disposals	31/12/2016
Cost: Buildings for lease	-	2,659,101	2,380,394	11,384	(430,157)	4,620,722
Accumulated depreciation: Buildings for lease	-	-	-	(28,269)	2,545	(25,724)
Impairment: Buildings for lease	-	-	-	(6,805)	-	(6,805)
Investment property	-	2,659,101	2,380,394	(23,690)	(427,612)	4,588,193

Buildings for lease

2017

The main acquisition of assets in 2017 corresponds to the Torre Glories building located in Barcelona, the acquisition price of which amounted to EUR 142 million and the total built surface area of which is 51,485 square metres. The Company will invest an additional EUR 15 million to convert it into a multi-tenant building, in order for the building to be used mainly for offices.

The other additions in the year relate to the improvement and adaptation work carried out on certain buildings owned by the Company, as well as the acquisitions of premises in certain shopping centres owned by the Company in the amount of EUR 42,463 thousand.

The disposals in 2017 relate mainly to the sale of office properties and several commercial premises, whereby the profit obtained from the sale thereof did not have a significant impact on the income statement.

2016

Property assets were incorporated into all of the Company's main operating segments in 2016 as a result of the merger with Testa and the business combination with Metrovacesa, S.A.

Additions and assets acquired through business combinations in 2016 were as follows:

Type of asset	Thousands of euros		
	Inclusions due to the merger of Testa Inmuebles en Renta	Inclusions due to the integration of Metrovacesa	Other additions
Offices	1,896,250	1,684,070	9,516
Shopping centres	304,400	404,530	507
Hotels	155,700	246,376	7
High street retail	45,000	9,565	111
Logistics	113,950	11,651	1,238
Other assets	143,801	24,202	5
	2,659,101	2,380,394	11,384

The main disposals in 2016 were as follows:

- On 30 December 2016, the Company and a third party entered into a sale and purchase agreement for its hotel leasing business, the only exceptions being the properties shared with other businesses (Eurostars Torre Castellana in Madrid and Novotel Diagonal in Barcelona).

Specifically, the agreement entailed the sale of 17 hotel assets (16 assets held by the Company and one asset of the Group company Sadorma 2003, S.L.), as well as the financial investments in Trade Hotel Center, S.L.U. and Bardiomar, S.L.

The parties agreed to a price of EUR 535 million, which EUR 484,206 thousand were collected in 2017 and EUR 50,794 thousand are to mature in 2018.

- Furthermore, on 28 December 2016 the Company sold the office building located at calle Alcalá 45, with 18,655 square metres used for the main office of the Economic and Treasury Area, to the Madrid Municipal Council.

As a result of these transactions, and arising from the recent acquisition of the hotels (included in the Company after the business combinations with Testa Inmuebles en Renta SOCIMI, S.A. and the property business of Metrovacesa, S.A.), no significant profit was recognised after the costs to sell.

The Company takes out the insurance policies it considers necessary to cover the risks that might affect its investment property. At 31 December 2017, the Company's directors considered that the property, plant and equipment were fully insured against these risks.

At 31 December 2017, the Group did not have any outright purchase agreements for investment property. In 2017 no significant finance costs were capitalised in the construction costs or as a result of improvements to or refurbishments of the properties.

At 31 December 2017, the Company did not have any investment property that was fully depreciated.

At 31 December 2017 and 2016, the gross surface areas and occupancy rates of the assets by line of business were as follows:

2017	GLA	Occupancy rate (%)
Offices	991,962	90%
High Street retail	29,812	91%
Shopping centres	235,734	86%
Logistics	231,124	100%
Other*	85,840	72%
Total surface area	1,574,471	90%

* Does not include projects in progress or non-strategic land

2016	GLA	Occupancy rate (%)
Offices	1,015,915	87%
High Street retail	229,262	86%
Shopping centres	471,848	96%
Logistics	29,501	100%
Other	460,157	75%
Total surface area	2,206,683	

All of the Company's investment property is used for its own business activities and is located in Spain.

Impairment

The fair value of the property assets was determined by independent experts in accordance with the Appraisal and Valuation Standards issued by the Royal Institution of Chartered Surveyors (RICS) of the United Kingdom and the International Valuation Standards (IVS) issued by the International Valuation Standards Committee (IVSC).

As a general rule, the expert appraisers applied the discounted cash flow method for rental property assets. This methodology consists of estimating the future net income of each property based on the historical information available and the market studies carried out. These projections are updated at the valuation date, using an internal rate of return or opportunity costs in making this investment, taking into account market risk and the risks inherent to the company. Once the projection period has elapsed (between 7 and 10 years), the asset is sold under market conditions, such that the residual value is obtained, capitalising in perpetuity the standardised net income obtained by the asset over the last period. This residual value is capitalised at an exit yield rate that reflects the investment projections for the market in the future.

The recoverable amount of the Company's investment property at 31 December 2017, calculated on the basis of the appraisals carried out by Savills Consultores Inmobiliarios, S.A. and CB Richard Ellis, which are not related to the Company, amount to EUR 5,796,358 thousand at 31 December 2017 (EUR 5,043,570 thousand at 31 December 2016). Based on this appraisal, the Company's directors have identified several individual assets whose recoverable amount is less than their carrying amount and, therefore, an impairment loss of EUR 39,350 thousand (EUR 6,805 thousand at 31 December 2016) was recognised under "Impairment and gains or losses on disposals of non-current assets" in the income statement for 2017.

Income and expenses

In 2017 the rental income from the investment property owned by the Company amounted to EUR 230,393 thousand (EUR 170,125 thousand at 31 December 2016) and the operating expenses of all kinds relating thereto totalled EUR 101,472 thousand (EUR 94,332 thousand at 31 December 2016).

At the end of 2017 there were no restrictions on making new investment property investments, on the collection of rental income therefrom or in connection with the proceeds to be obtained from a potential disposal thereof.

a) Operating leases as lessee

At the end of 2017 the Company had contracted with lessors for the following minimum lease payments, based on the leases currently in force, without taking into account the charging of common expenses, future increases in line with the CPI or future contractual lease payment revisions (in thousands of euros):

Minimum operating lease payments	Nominal amount	
	2017	2016
Within one year	463	491
Between one and five years	494	982
Total	957	1,473

The main expense relating to operating leases corresponds to the lease agreement that the Company entered into to rent out its offices. On 27 February 2017, the Company changed its registered office from Paseo de la Castellana 42 to Paseo de la Castellana 257, Madrid. The term of this lease agreement lasts until 2020, and may be extended for an additional two years.

The total lease expense accrued in 2017 amounted to EUR 722 thousand (EUR 530 thousand in 2016). The income for subleases in 2017 and 2016 from Magic Real Estate, S.L.U. totalled EUR 55 thousand and EUR 36 thousand, respectively, and is recognised under "Other operating income" in the income statement for 2017.

b) Operating leases as lessor

At the end of 2017 the Company had contracted with lessors for the following minimum lease payments, based on the leases currently in force, without taking into account the charging of common expenses, future increases in the CPI or future contractual lease payment revisions:

Minimum lease payments	Thousands of euros	
	2017	2016
Within one year	234,613	213,756
Between one and five years	441,329	495,077
More than five years	37,846	64,311
Total	713,789	773,144

The detail of the operating lease and sublease payments recognised as an expense and as income, respectively, in 2017 is as follows:

	Thousands of euros	
	2017	2016
Minimum lease payments	230,393	170,525
Transfer of common expenses	52,590	32,762
Total	282,983	203,387

The expenses passed on to the lessees recognised in the income statement for 2017 decreased the balance of "Other operating expenses".

c) Finance leases in which the Company acts as lessee

At 31 December 2017, the Company had arranged the following lease payments with the lessors:

	Thousands of euros	
	2017	2016
Within one year	123,555	10,849
Between one and five years	-	124,911
More than five years	-	-
Total	123,555	135,760

There are no rent review or escalation clauses and the restrictions imposed are those found in standard financing agreements. There are no restrictions with regard to the payment of dividends, additional debt or new finance lease agreements.

At the end of 2017 the Company had contracted the aforementioned leases with the lessees for the following minimum lease payments, based on the leases currently in force, without taking into account the charging of common expenses, future increases in line with the CPI or future contractual lease payment revisions until the end of the agreements:

	Thousands of euros	
	2017	2016
Within one year	16,135	16,261
Between one and five years	67,318	79,332
More than five years	3,367	6,604
Total	86,820	102,197

8. Current and non-current financial investments

The detail of “Current and non-current financial investments” at 31 December 2017 and 2016 is as follows:

	Thousands of euros			
	31/12/2017		31/12/2016	
	Non-current	Current	Non-current	Current
Equity instruments	873	18	206	18
Guarantees given and prepayments	35,030	-	34,870	-
Loans to Group companies	114,647	490,786	141,018	511,139
Loans to third parties	640	501	1,718	222
Trade and other receivables	-	62,708	49,745	445,542
Debt securities and other financial assets	-	4,698	-	5,941
Total	151,190	558,711	227,557	962,862

8.1_Guarantees given and prepayments

“Guarantees given and prepayments” includes mainly the guarantees arranged for lease agreements as collateral, the balance of which at 31 December 2017 amounted to EUR 32,684 thousand (EUR 33,677 thousand at 31 December 2016), as well as the deposits amounting to EUR 2,177 thousand at that date (EUR 1,025 thousand at 31 December 2016).

8.2_Balances with Group companies (current and non-current)

The Company had the following non-current and current balances with its subsidiaries in 2017 and 2016:

2017

Company	Thousands of euros								
	Long-term loans	Short-term loans	Current accounts - receivables	Dividends receivable	Non-current payables	Current payables	Current accounts - payables	Trade receivables	Payable to suppliers
Tree Inversiones Inmobiliarias, SOCIMI, S.A.U.	-	-	31,208	12,760	-	-	-	-	-
Merlin Retail, S.L.U.	-	-	5,234	2,370	-	-	-	108	-
Merlin Oficinas, S.L.U.	-	-	103,073	-	-	-	-	73	-
Merlin Logística	-	-	7,241	1,000	-	-	-	84	-
Merlin Logística II	-	-	401	120	-	-	-	8	-
Obraser, S.A.	-	-	2,681	930	-	-	-	-	-
Merlin Parques Logísticos, S.A.	-	-	11,972	-	-	-	-	-	-
Sevisur Logística, S.A.	-	-	950	150	(26,629)	-	-	-	-
Merlin Properties Adequa, S.L.U.	-	-	2,481	1,490	-	-	-	-	-
Metropolitana Castellana, S.L.	-	-	1,913	860	-	-	-	-	-
Metroparque, S.A.	-	-	-	2,200	-	-	(16,761)	4	-
Varitelia Distribuciones, S.L.U.	-	319	208,982	-	-	-	-	191	-
La Vital Centro Comercial y de Ocio, S.L.	-	-	3	800	-	-	-	-	-
Sadorma 2003, S.L.	335	51	-	-	-	-	(16,476)	-	-
Global Carihuela Patrimonio Comercial, S.L.U.	-	-	17,056	-	-	-	-	-	-
Global Murex Iberia, S.L.	2,465	-	-	-	-	-	(2,459)	-	-
Belkyn West Company, S.L	-	657	775	-	-	-	-	-	-
Holding Jaureguizar 2002, S.A.U.	-	-	4,189	1,393	-	-	-	-	-
D. Urbano de Patraix, S.A.	-	-	289	-	-	-	-	-	(32,007)
Gescentesta, S.L.U.	-	-	-	-	-	(9)	-	-	-
Acoghe, S.L.	-	-	-	-	-	-	(177)	-	-
Gesfitesta, S.L.U.	-	659	-	-	-	-	-	-	-
Testa Hoteles, S.A.	-	-	-	-	-	-	(4,292)	-	-
MP Monumental, S.A.	44,171	-	-	-	-	-	-	-	-
MP Torre A, S.A.	36,139	-	-	-	-	-	-	-	-
MPCVI - Compra e Venda Inmobiliaria, S.A.	13,704	-	-	-	-	-	-	3	-
Promosete Inwestimentos Inmobiliarios	17,833	-	-	-	-	-	-	-	-
VFX Logística	-	-	240	-	-	-	-	-	-
Inmobiliaria Metrogolf, S.A.	-	-	-	-	(3,224)	(323)	-	-	-
Metrovacesa France, S.A.S.	-	-	-	-	-	-	-	63	-
Paseo Comercial Carlos III, S.A.	-	65,203	-	-	-	-	-	6	-
Provitae Centros Asistenciales, S.L	-	1,002	1	-	-	-	-	-	-
P.K. Hoteles 22, S.L.	-	-	114	-	-	-	-	-	-
Testa Residencial, SOCIMI, S.A.	-	-	19	-	-	-	-	2,357	-
Parking del Palau, S.A.	-	-	-	-	-	-	-	8	-
Total	114,647	67,891	398,822	24,073	(29,853)	(332)	(40,165)	2,905	(32,007)

2016

Company	Thousands of euros								
	Long-term loans	Short-term loans	Current accounts - receivables	Dividends receivable	Non-current payables	Current payables	Current accounts - payables	Trade receivables	Payable to suppliers
Tree Inversiones Inmobiliarias, SOCIMI, S.A.U.	-	-	13,099	-	-	-	-	-	-
Merlin Retail, S.L.U.	-	-	1,403	-	-	-	-	165	-
Merlin Oficinas, S.L.U.	-	-	31,966	-	-	-	-	121	-
Merlin Logística	-	-	27,411	-	-	-	-	108	-
Merlin Logística II	-	-	102	-	-	-	-	15	-
Obraser, S.A.	-	-	35,376	-	-	-	-	27	-
Merlin Parques Logísticos, S.A.	-	-	8,500	-	-	-	-	-	-
Metropolitana Castellana, S.L.	-	-	-	-	-	-	(3,079)	-	(72)
Metroparque, S.A.	-	-	-	-	-	-	(24,467)	-	-
Varitelia Distribuciones, S.L.U.	20,919	28	184,052	-	-	-	-	-	-
La Vital Centro Comercial y de Ocio, S.L.	-	-	11,573	-	-	-	-	-	-
Sadorma 2003, S.L.	335	9	12,357	-	-	-	-	-	-
Global Carihuela Patrimonio Comercial, S.L.U.	15,800	246	15,300	-	-	-	-	-	-
Global Murex Iberia, S.L.	2,468	-	-	-	-	-	(2,465)	-	-
Belkyn West Company, S.L	-	3,259	120	-	-	-	-	-	-
Holding Jaureguizar 2002, S.A.U.	-	-	4,188	1,393	-	-	-	-	-
D. Urbano de Patraix, S.A.	-	-	8	-	-	-	-	-	(32,007)
Gescentesta, S.L.U.	-	-	1	-	-	(8)	-	-	-
Acoghe, S.L.	-	-	-	-	-	-	(306)	-	-
Gesfitesta, S.L.U.	-	633	-	-	-	-	-	-	-
Testa Hoteles, S.A.	-	-	-	-	-	-	(4,292)	-	-
Centros Comerciales Metropolitanos, S.A.U.	4,650	9	44,080	950	-	-	-	-	-
Explot. Urbanas Españolas, S.L.U.	-	-	40,795	-	-	-	-	-	-
Arturo Soria Plaza A.I.E	-	-	1	-	-	-	-	-	-
MP Monumental, S.A.	41,996	-	-	-	-	-	-	16	-
MP Torre A, S.A.	34,360	-	-	-	-	-	-	3	-
MPCVI - Compra e Venda Inmobiliaria, S.A.	12,329	659	-	-	-	-	-	3	-
Inmobiliaria Metrogolf, S.A.	-	-	-	-	(3,225)	(322)	-	-	-
Metrovacesa France, S.A.S.	-	-	-	-	(8,958)	(15)	-	63	-
Metrovacesa Mediterranée S.A.S	1,266	620	-	-	-	-	-	-	-
Project Maple I BV	-	29	-	-	-	-	-	-	-
Paseo Comercial Carlos III, S.A.	-	71,882	-	-	-	-	-	11	-
Provitae Centros Asistenciales, S.L	-	976	-	-	-	-	-	-	-
P.K. Hoteles 22, S.L.	-	-	114	-	-	-	-	-	-
Testa Residencial, SOCIMI, S.A.	-	-	-	-	-	-	(360)	-	-
Parking del Palau, S.A.	-	-	-	-	-	-	-	13	-
Cilsa, S.A.	6,895	-	-	-	-	-	-	5	-
Total	141,018	78,350	430,446	2,343	(12,183)	(345)	(34,969)	550	(32,079)

Long-term loans to Group companies and associates

The main long-term loans granted by the Company to Group companies and associates recognised under “Loans to Group companies” were as follows:

- On 6 May 2015, the Company granted its Portuguese subsidiary MPCVI - Compra e Venda Imobiliária, S.A. a participating loan to purchase an office building in Lisbon. At 31 December 2017, the outstanding balance receivable of these loans amounted to EUR 11,800 thousand, plus interest capitalised amounting to EUR 1,904 thousand (EUR 529 thousand at 31 December 2016). These loans mature on 5 June 2025 and accrue interest at a rate of three-month Euribor, plus a spread of 5%.
- On 1 September 2009, the sole shareholder of Global Murex Iberia, S.L.U., which was Metrovacesa, S.A. (currently, Merlin Properties SOCIMI S.A.), granted a participating loan in the amount of EUR 18,000 thousand. This loan matured in 2014, at which time an addendum was signed extending the maturity of the agreement until 1 September 2019.
- On 7 April 2017, for the purpose of purchasing Promosete Inmobiliarios, S.A., the sole shareholder thereof was subrogated to the loan that Promosete originally held with Pan European Finance s.a.r.l. in the amount of EUR 17,883 thousand maturing on 31 December 2019. This loan accrues interest at an annual rate of 5%.
- Following the acquisition of MP Torre A, S.A. and MP Monumental, S.A. in March 2016, the Company was subrogated to the position of creditor held by the previous shareholder with the aforementioned companies. At 31 December 2017, the principal and interest of the outstanding balance amounted to EUR 36,139 thousand and EUR 44,172 thousand, respectively, with an interest rate of 5.64%.

Short-term loans to Group companies and associates

The balance of “Short-term loans” includes the loan granted by the Parent to Paseo Comercial III, S.A. In 2000 Eurohypo AG (now Hypothekebank Frankfurt AG) entered into a financing agreement with this associate, which was assigned to LSREF3 Octopus Investments, S.a.r.l. on 2 August 2014. Subsequently, on 30 July 2015 LSREF3 Octopus Investments, S.a.r.l. assigned and transferred the rights, obligations and full contractual position of the loan, transferring all rights and obligations to Metrovacesa, S.A., which currently forms part of the Parent. The loan bears interest at 3-month Euribor + 0.55%.

This loan requires that the company maintain and comply with certain coverage ratios, which are standard in these types of real estate companies, such as the loan-to-value ratio and the ratio of the company's income used to service the debt (interest coverage ratio, ICR). Although Paseo Comercial Carlos III, S.A. did not comply with the interest coverage ratio at year-end 2017, it did comply with the loan-to-value ratio.

Current accounts with Group companies and associates

“Current accounts” and “Other payables to Group companies and associates” include mainly the financing granted by the Company to acquire several investment properties and the financing from the business combination with Metrovacesa carried out in 2016. These agreements were executed through a current account agreement between the Company and its subsidiaries. The maturity of the agreement is established on an annual basis, and subsequent renewals for similar periods are permitted. These balances accrue interest at rates similar to market rates.

8.3 Trade and other receivables

“Trade and other receivables” included the following items at 31 December 2017:

	Thousands of euros	
	2017	2016
<i>Non-current assets</i>		
Sundry accounts receivable	-	49,745
<i>Current assets</i>		
Trade and notes receivable	3,414	7,082
Group companies and associates	2,905	550
Sundry accounts receivable	51,496	429,167
Employee receivables	184	178
Other accounts receivable from public authorities (Note 15)	4,709	8,565
Total	62,708	495,287

In 2017, the Company received EUR 424 million corresponding to the price of the hotels sold in 2016. The remaining amount, which totals approximately EUR 47.5 million, is included under “Sundry accounts receivable” since they mature in the second half of 2018.

In general these receivables are interest free and the terms of collection range from immediate payment on billing to payment at 30 days, while the average collection period is approximately 5 days.

The Company periodically analyses the risk of insolvency of its accounts receivable by updating the related provision for impairment losses. The Company’s directors consider that the amount of trade and other receivables approximates their fair value.

The changes in the impairment losses and bad debt in 2017 were as follows:

	Thousands of euros
Balance at 31 December 2016	(13,173)
Changes in the scope of consolidation	(445)
Other	4,534
Charge for the year	(1,026)
Reversals/amounts used	1,341
Balance at 31 December 2017	(8,769)

The majority of impaired receivables are overdue by more than 6 months.

9. Cash and cash equivalents

“Cash and Cash Equivalents” includes the Company’s cash and short-term bank deposits with an original maturity of three months or less. The carrying amount of these assets approximates their fair value. The balance of this heading of the accompanying balance sheet is composed mainly of the current accounts in euros held by the Company at various financial institutions, which accrue interest at market rates, amounting to EUR 294,818 thousand (EUR 167,686 thousand in 2016).

At 31 December 2017, the balances included under “Cash and cash equivalents” amounting to EUR 789 thousand (EUR 648 thousand at 31 December 2016) were not available as they were pledged to secure the various obligations existing at that date.

The interest earned in this regard in 2017 amounted to EUR 231 thousand and is recognised under “Finance

Income” in the accompanying income statement (EUR 516 thousand in 2016).

10. Non-current investments in Group companies and associates

The breakdown of and changes in the balance of “Equity instruments” at 2017 and 2016 year-end is as follows:

2017

	Thousands of euros							Balance at 31/12/2017
	Balance at 31/12/2016	Additions	Disposals due to mergers (Note 1.2)	Additions due to mergers (Note 1.2)	Impairmen t	Decreases	Other	
Group companies:								
Tree Inversiones Inmobiliarias SOCIMI, S.A.U.	657,984	-	-	-	-	-	-	657,984
Merlin Logística, S.L.U.	124,153	120,000	-	-	-	-	-	244,153
Merlin Retail, S.L.U.	179,608	-	-	-	-	-	-	179,608
Merlin Oficinas, S.L.U.	167,759	29,200	-	-	-	-	-	196,959
MPEP - Properties Escritórios Portugal, S.A.	50	-	-	-	(19)	-	-	31
MPCVI - Compra e Venda Imobiliária, S.A.	6,418	-	-	-	-	-	-	6,418
Merlin Logística II, S.L.U.	10,671	-	-	-	-	-	-	10,671
Obraser, S.A.	36,600	35,200	-	-	-	-	-	71,800
MP Torre A, S.A.	10,186	-	-	-	-	-	-	10,186
MP Monumental, S.A.	20,348	-	-	-	-	-	-	20,348
Merlin Properties Adequa, S.L.	378,755	804	-	-	-	-	-	379,559
Merlin Parques Logísticos, S.A.	115,292	3,018	-	-	-	-	-	118,310
Belkyn West Company, S.L.	3	3,340	-	-	(137)	-	-	3,206
Gescentesta, S.L.U.	3	-	-	-	-	-	-	3
Gesfitesta, S.L.U.	6	-	-	-	(341)	-	335	-
Prosacyr Hoteles, S.A.	4,287	-	-	-	-	-	-	4,287
Centros Comerciales Metropolitanos, S.A.U.	36,262	-	(36,262)	-	-	-	-	-
Sadorma 2003, S.L.	20,989	-	-	36	(1,037)	-	(1)	19,987
Metroparque, S.A.	231,557	-	-	-	-	-	-	231,557
Explotaciones Urbanas Españolas, S.L.U.	31,087	-	(31,087)	-	-	-	-	-
Acoghe, S.L.U.	297	-	-	-	(6)	-	(1)	290
Inmobiliaria Metrogolf, S.A.	3,709	-	-	-	(86)	-	1	3,624
Metrovacesa Access Tower GmbH	1,202	-	(1,202)	-	-	-	-	-
MVC France S.A.S	10,013	-	(9,928)	-	(85)	-	-	-
Desarrollo Urbano de Patraix, S.A.	25,090	-	-	-	(6,809)	-	-	18,281
Global Carhuela Patrimonio Comercial, S.L.U.	1,102	16,000	-	-	-	-	-	17,102
Holding Jaureguizar 2002, S.A.U.	-	-	-	-	(3)	-	3	-
Varitelia Distribuciones, S.L.U.	-	20,919	-	-	(3,520)	-	-	17,399
Global Murex Iberia, S.L.	-	-	-	-	(2)	-	2	-
Metrovacesa Mediterranée S.A.S	-	-	-	-	(168)	-	168	-
La Vital Centro Comercial y de Ocio	-	8356	-	48,432	-	-	-	56,788
Promosete, Invest Inmobiliaria	-	11,704	-	-	-	-	-	11,704
VFX Logística	-	200	-	-	-	-	-	200
Praça do Marques Servicios Auxiliares, S.A.	-	60,382	-	-	-	-	-	60,382
Sevisur Logística	-	37,628	-	-	-	-	-	37,628
Metropolitana Castellana	7,559	16,000	-	67,300	-	-	-	90,859
-	-	-	-	-	-	-	-	-
Associates:								
Centro Intermodal de Logística, S.A.	50,038	45,650	-	-	-	-	-	95,688
Testa Residencial, S.A.	144,369	-	-	-	-	-	-	144,369
PK Inversiones 22, S.L.	30	-	-	-	(13)	-	-	17
PK Hoteles 22, S.L.	97	-	-	-	1,737	-	-	1,834
Pazo de Congressos de Vigo, S.A.	3,434	-	-	-	(3,434)	-	-	-
Provitae Centros Asistenciales, S.L.	4,471	-	-	-	79	-	-	4,550
Parking Palau, S.A.	2,237	-	-	-	-	(99)	-	2,138
Paseo Comercial Carlos III	-	-	-	25,668	-	-	-	25,668
Total net value of the investment	2,285,666	408,401	(78,479)	141,436	(13,844)	(99)	507	2,743,588

2016

	Thousands of euros							
	Balance at 31/12/2015	Additions	Disposals due to mergers	Additions due to mergers	Business combination	Impairment	Decreases	Balance at 31/12/2016
Group companies:								
Tree Inversiones Inmobiliarias SOCIMI, S.A.U.	657,984	-	-	-	-	-	-	657,984
Merlin Logística, S.L.U.	64,503	59,650	-	-	-	-	-	124,153
Merlin Retail, S.L.U.	130,908	48,700	-	-	-	-	-	179,608
Merlin Oficinas, S.L.U.	148,253	19,506	-	-	-	-	-	167,759
MPEP - Properties Escritórios Portugal, S.A.	50	-	-	-	-	-	-	50
MPCVI - Compra e Venda Imobiliária, S.A.	6,418	-	-	-	-	-	-	6,418
Merlin Logística II, S.L.U.	10,671	-	-	-	-	-	-	10,671
Testa Inmuebles en Renta, SOCIMI, S.A.	1,669,863	318,057	(1,987,920)	-	-	-	-	-
Obraser, S.A.	36,600	-	-	-	-	-	-	36,600
MP Torre A, S.A.	-	10,186	-	-	-	-	-	10,186
MP Monumental, S.A.	-	20,348	-	-	-	-	-	20,348
Merlin Properties Adequa, S.L.	-	378,755	-	-	-	-	-	378,755
Merlin Parques Logísticos, S.A.	-	115,292	-	-	-	-	-	115,292
Belkyn West Company, S.L.	-	3	-	-	-	-	-	3
Trade Center Hotel, S.L.U.	-	-	-	51,587	-	-	(51,587)	-
Testa American Real Estate Corporation	-	-	-	160,640	-	-	(160,640)	-
Gescentesta, S.L.U.	-	-	-	3	-	-	-	3
Gesfitesta, S.L.U.	-	-	-	6	-	-	-	6
Testa Hoteles, S.A.	-	-	-	4,287	-	-	-	4,287
Centros Comerciales Metropolitanos, S.A.U.	-	-	-	-	36,262	-	-	36,262
Sadorma 2003, S.L.	-	-	-	-	25,449	(4,460)	-	20,989
Metroparque, S.A.	-	-	-	-	231,557	-	-	231,557
Explotaciones Urbanas Españolas, S.L.U. (EUESA)	-	-	-	-	31,087	-	-	31,087
Acoghe, S.L.U.	-	-	-	-	300	(4)	-	297
Inmobiliaria Metrogolf, S.A.	-	-	-	-	3,709	-	-	3,709
Metrovacesa Access Tower GmbH	-	-	-	-	1,202	-	-	1,202
MVC France S.A.S	-	-	-	-	10,135	(122)	-	10,013
Desarrollo Urbano de Patraix, S.A.	-	-	-	-	25,090	-	-	25,090
Global Carhuela Patrimonio Comercial, S.L.U.	-	-	-	-	1,102	-	-	1,102
Pentapolitano, S.L.	-	-	-	-	-	-	-	-
Holding Jaureguizar 2002, S.A.U.	-	-	-	-	-	-	-	-
Varitelia Distribuciones, S.L.U.	-	-	-	-	-	-	-	-
Global Murex Iberia, S.L.	-	-	-	-	-	-	-	-
Metrovacesa Mediterranée S.A.S	-	-	-	-	-	-	-	-
Associates:								
Centro Intermodal de Logística, S.A.	50,038	-	-	-	-	-	-	50,038
Testa Residencial, S.A.	-	-	-	144,370	-	-	-	144,369
Bardiomar, S.L.	-	-	-	39,064	-	-	(39,064)	-
PK Inversiones 22, S.L.	-	-	-	30	-	-	-	30
PK Hoteles 22, S.L.	-	-	-	2,873	-	(2,776)	-	97
Pazo de Congresos de Vigo, S.A.	-	-	-	3,600	-	(166)	-	3,434
Provitae Centros Asistenciales, S.L.	-	-	-	5,541	-	(1,070)	-	4,471
Parking Palau, S.A.	-	-	-	2,236	-	-	-	2,237
Metropolitana Castellana, S.L.	-	-	-	-	7,559	-	-	7,559
Total net value of the investment	2,775,288	970,497	(1,987,920)	414,237	373,452	(8,598)	(251,291)	2,285,666

In compliance with Article 155 of the Spanish Corporate Enterprises Act, the Company reported the investments that exceed 10% of share capital in the companies described in the table above.

The most significant transactions performed in 2017 are as follows:

a) *Capital increases*

In 2017, Merlin Properties, SOCIMI, S.A., as the shareholder/sole shareholder of these companies, increased the share capital of the subsidiaries through the conversion of debt.

Specifically, the Company subscribed the following capital increases:

	Capital increase date	Number of shares issued	Par value and share premium	Thousands of euros
Merlin Logística, S.L.U.	10/07/2017	7,550,000	EUR 1 of share capital and EUR 9 of share premium	75,500
Merlin Logística, S.L.U.	14/12/2017	4,450,000	EUR 1 of share capital and EUR 9 of share premium	44,500
Merlin Oficinas, S.L.U.	27/06/2017	2,920,000	EUR 1 of share capital and EUR 9 of share premium	29,200
Obraser, S.A.	27/06/2017	585,690	EUR 6.01 of share capital and EUR 54.09 of share premium	35,200
Global Carihuela Patrimonio Comercial, S.L.U.	14/12/2017	1,600,000	EUR 1 of share capital and EUR 9 of share premium	16,000
Varitelia Distribuciones, S.L.U.	14/12/2017	15,440,000	EUR 1 of share capital and EUR 9 of share premium	20,919 (*)
Metropolitana Castellana, S.L.U.	14/12/2017	266,222	EUR 6.01 of share capital and EUR 54.09 of share premium	16,000

(*) The loan granted to Varitelia Distribuciones, S.L.U. was impaired in the company's financial statements by EUR 133,481 thousand.

b) *Sevisur Logística, S.A.U.*

On 26 September 2017, the Company acquired 57,400 shares, representing 100% of Sevisur Logística, S.A.U., from Merlin Parques Logísticos, S.A.U. for EUR 37,628 thousand, of which EUR 11,000 thousand were paid for through the compensation of debt and EUR 26,628 thousand were deferred by means of a loan maturing on 26 September 2019.

c) *Centros Comerciales Metropolitanos, S.A.U. and Explotaciones Urbanas Españolas, S.L.U.*

The merger by absorption of Centros Comerciales Metropolitanos and Explotaciones Urbanas Españolas was carried out on 29 August 2017. Each of the companies had a 45% interest in Metropolitana Castellana, S.A. and a 50% interest in La Vital Centro Comercial y de Ocio, S.A. As a result of the absorption by Merlín Properties Socimi, S.A., the ownership interest thereof increased by EUR 67,300 thousand and EUR 48,432 thousand, respectively. Similarly, Centro Comerciales Metropolitanos, S.A.U. held 50% of the ownership interest in Paseo Comercial Carlos III, thus giving rise to an increase in the investment of EUR 25,668 thousand (see Note 1.2).

d) *Centro Intermodal de Logística, S.A. (CILSA)*

The additions in 2017 relate to the increase in ownership interest in Centro Intermodal de Logística, S.A. (Cilsa). On 20 December 2017, the Company acquired 1,287 class B shares of this company's share capital for a total of EUR 8,350 thousand, corresponding to a 5% interest.

In addition, on 21 December 2017 the shareholders at General Meeting of Centro Intermodal de Logística, S.A. (Cilsa) approved a capital increase by offsetting the participating loans and repaying other loans existing at that date. This increase enabled the Company to acquire a total of 15,268 shares, representing 11.5% of the company's share capital, which represents an increase in the cost of the investee of EUR 37,300 thousand. At 31 December 2017, the Company had a 48.50% ownership interest in Centro Intermodal de Logística, S.A.

e) *Praça Do Marquês Serviços Auxiliares, S.A.*

On 28 September 2017, the Company acquired 100% of the ownership interest in Praça do Marquês, S.A., the share capital of which amounts to EUR 15,893 thousand and is fully paid and represented by 3,185,000 shares of EUR 4.99 par value each, for a total of EUR 60,382 thousand. The main line of business of the acquired company is the lease of urban properties, whereby its main asset is a building in Lisbon that is

63% leased and has a surface area of 12,460 square meters. Its appraised value at the time of purchase according to an independent appraiser was EUR 65,321 thousand.

f) *Promosete, Investimentos Imobiliarios, S.A.*

On 7 April 2017, the Company acquired 100% of the ownership interest in Promosete Investimentos Imobiliarios, S.A., the share capital of which amounted to EUR 200,000, which was fully paid and represented by 200,000 shares of EUR 1 par value each, for a total of EUR 11,704 thousand. The main line of business of the acquired company is the lease of offices, whereby its main asset is the Central Office Building in Lisbon that is 100% leased and has a surface area of 10,310 square meters. Its appraised value at the time of purchase according to an independent appraiser was EUR 30,991 thousand.

g) The following Group companies were dissolved in 2017 without having an effect on the Company's financial statements: Metrovacesa Mediterranée, S.A.S., Metrovacesa France, S.A.S., and Metrovacesa Access Tower GmbH

The most significant transactions performed in 2016 are as follows:

a) *Merlin Logística, S.L.U., Merlin Retail, S.L.U. and Merlin Oficinas, S.L.U.*

In 2016, Merlin Properties, SOCIMI, S.A., as the sole shareholder of these companies, increased the share capital of the subsidiaries through the conversion of debt.

Specifically, the Company subscribed the following capital increases:

	Number of shares issued	Par value and share premium	Thousands of euros
Merlin Logística, S.L.U.	1,385,000	EUR 1 of share capital and EUR 9 of share premium	13,850
Merlin Retail, S.L.U.	4,870,000	EUR 1 of share capital and EUR 9 of share premium	48,700
Merlin Oficinas, S.L.U.	1,950,558	EUR 1 of share capital and EUR 9 of share premium	19,506
Merlin Logística, S.L.U.	4,580,000	EUR 1 of share capital and EUR 9 of share premium	45,800

b) *MP Torre A, S.A. and MP Monumental, S.A.*

On 10 March 2016, the Company acquired all ownership interest in LSREF3 REO TORRE A, S.A., the share capital of which amounted to EUR 50,000, which was fully paid and represented by 50,000 shares of EUR 1 par value each, for a total of EUR 10,186 thousand. The main line of business of the acquired company is the lease of offices, warehouses and commercial establishments in Lisbon. On 16 March 2016, the company name was changed to MP Torre A, S.A.

On this same date, the Company also acquired 100% of the ownership interest in LSREF3 REO MONUMENTAL, S.A., the share capital of which amounted to EUR 50,000, which was fully paid and represented by 50,000 shares of EUR 1 par value each, for a total of EUR 20,348 thousand. The main line of business of the acquired company is the lease of offices and commercial establishments in Lisbon. On 23 March 2016, the company name was changed to MP Monumental, S.A.

c) *Merlin Properties Adequa, S.L. (formerly, Adequa, S.L.)*

On 1 December 2016, the Company executed in a public deed the private agreement entered into in September 2016 for the acquisition of all ownership interest in Adequa, S.L., for EUR 378,755 thousand. The share capital of Adequa, S.L. amounted to EUR 5,075 thousand and was represented by 5,075,300 shares of EUR 1 par

value each. This company is the owner of the Adequa office complex located on the A-1 corridor of Madrid, whereby its main activity is the lease of this office space. The business complex has a surface area of 107,000 square metres distributed throughout various buildings, one of which is allocated for commercial use and the rest are used for offices. In addition, it has a plot of land to develop two other buildings, including a tower with 24 floors and a surface area of 29,000 square metres. On 1 December 2016, the company name was changed to Merlin Properties Adequa, S.L.

d) *Merlin Parques Logísticos, S.A. (formerly, Saba Parques Logísticos, S.A.)*

On 17 October 2016, the sale and purchase agreement entered into by the Company and by Saba Infraestructuras, S.A. to acquire the logistics business owned by the latter, was executed in a public deed. The Company acquired 100% of the share capital of Saba Parques Logísticos, S.A. (currently Merlin Parques Logísticos, S.A.), which was made up of 1,745,041 shares of EUR 40 par value each. SPL is also the Parent of a group of companies whose main business activity is leasing logistical property assets to third parties. The purchase price included a fixed component that amounted to EUR 115,292 thousand, which was already paid to the seller, and a variable component that could reach a maximum of EUR 3,018 thousand if certain conditions are met. These conditions were met in 2017, and this amount was paid in full during that year. The gross surface area of the plants is approximately 400 hectares and it has a built surface area of around 350,000 square metres, with a presence in Spain and Portugal, managing the network of plants in Barcelona, Seville, Álava and Lisbon.

e) *Testa Inmuebles en Renta, SOCIMI, S.A.*

On 20 June 2016, the Company acquired 34,810,520 shares of Testa Inmuebles en Renta SOCIMI, S.A., owned by Sacyr, and that represented 22.61% of the share capital and Testa's voting rights. These shares, together with those acquired by the Company in 2015, represented 99.93% of the share capital and voting rights of Testa Inmuebles en Renta SOCIMI, S.A. The acquisition went through in accordance with the investment agreement entered into between by the Company and Sacyr, S.A. on 8 June 2015, with a payment of EUR 316,840 thousand for the acquired shares. Furthermore, in the merger process the Company exchanged treasury shares with the minority shareholders of Testa amounting to EUR 1,217 thousand.

Subsequently, on 21 June 2016, the Boards of Directors of the Company and Testa Inmuebles en Renta SOCIMI, S.A. approved the merger by absorption involving the integration of Testa Inmuebles en Renta SOCIMI, S.A. in the Company, through the transfer en bloc of the former's assets and liabilities to the latter. On 6 September 2016, the shareholders at the General Shareholders' Meeting of Testa Inmuebles en Renta, SOCIMI, S.A. approved the merger, which was then registered at the Mercantile Registry on 14 October 2016. As provided in the merger agreement, for accounting and economic purposes, the transaction carried out by the absorbed company was considered to have been performed by the absorbing company, i.e., Merlin Properties SOCIMI, S.A., as of 1 January 2016.

The absorption of Testa Inmuebles en Renta, SOCIMI, S.A. gave rise to a decrease in the ownership interest and the inclusion en bloc by universal succession of all assets, rights and obligations of the absorbed company.

f) *Combination with the property business of Metrovacesa, S.A.*

As a result of the business combination carried out by the Company with the property business of Metrovacesa, S.A., the following significant investments were included: Metropolitana Castellana, S.L., Varitelia Distribuciones, S.L., Sadorma 2003, S.L., Metroparque, S.A. and La Vital Centro Comercial y de Ocio, S.L.

g) *Sale of the hotel portfolio*

The disposals that took place during the year relate to the sale of the ownership interest in Trade Center Hotel, S.L.U. and Bardiomar, S.L. as an integral part of the sale agreement for the hotel assets.

h) *Liquidation of Testa American Real Estate Corporation*

In 2016 the shareholders at the General Meeting of Testa American Real Estate Corporation S.A. unanimously resolved to liquidate the company, which is wholly owned by the Group. The company was declared to have

ceased to exist by court order in October 2016. This transaction gave rise to a profit of EUR 5,866 thousand.

To determine whether or not the investments in Group companies and associates have become impaired, the proportional part of equity of the investees, adjusted by any unrealised gains and goodwill at the valuation date, was considered to be the best evidence of the recoverable amount.

The most significant information in relation to investments in Group companies and associates at 2017 and 2016 year-end is detailed in Appendix I.

11. Equity and shareholders' equity

11.1 Share capital and share premium

The detail of "Equity" and of the changes therein is presented in the statement of changes in equity.

Share capital

At 31 December 2017, the share capital of Merlin Properties SOCIMI, S.A., amounted to EUR 469,771 thousand, represented by 469,770,750 fully subscribed and paid shares of EUR 1 par value each, all of which are of the same class and confer the holders thereof the same rights.

All the Company's shares are admitted to official listing on the Madrid, Barcelona, Bilbao and Valencia stock exchanges. The market price of the Company's shares at 31 December 2017 and the average market price for the fourth quarter amounted to EUR 11.30 and EUR 11.12 per share, respectively.

The changes in the Company's share capital were as follows:

	Number of shares	
	2017	2016
Beginning balance	469.770.750	323,030,000
Capital increase of 15 September 2016	-	146,740,750
Ending balance	469.770.750	469.770.750

On 15 September 2016, the Company increased its share capital by EUR 146,740,750 through the issuance of 146,740,750 ordinary shares, of the same class and series as those currently outstanding, with a par value of EUR 1 each and a share premium of EUR 1,526,104 thousand (EUR 10.40 per share). The shares were subscribed and paid in full by the shareholders of Metrovacesa, S.A. through the contribution of its property business.

At 31 December 2017, the significant shareholders of Merlin Properties SOCIMI, S.A. with direct or indirect ownership interests exceeding 3% of share capital, are as follows:

	Shares			% of share capital
	Direct	Indirect	Total	
Banco Santander, S.A.	78,437,100	26,172,125	104,609,225	22.27%
BlackRock, INC	-	18,773,897	18,773,897	3.996%

Share premium

The revised text of the Spanish Corporate Enterprises Act expressly permits the use of the share premium to increase capital and establishes no specific restrictions as to its use.

This reserve is unrestricted so long as its allocation does not lower equity to below the amount of share capital. In this connection, in 2017 the shareholders at the General Meeting approved the distribution of dividends totalling EUR 46,643 thousand with a charge to the share premium.

11.2 Reserves

Legal reserve

The legal reserve will be established in accordance with Article 274 of the revised text of the Spanish Corporate Enterprises Act, which stipulates, in all cases, that 10% of net profit for each year must be transferred to the legal reserve until the balance of this reserve reaches at least 20% of the share capital.

This reserve cannot be distributed, and if it is used to offset losses, in the event no other reserves are available for this purpose, it must be restored with future profits.

At 31 December 2017, the Company had not yet reached the legally required minimum established in the revised text of the Spanish Corporate Enterprises Act.

The legal reserve of companies that have chosen to avail themselves of the special tax regime established in Spanish Law 11/2009, governing listed real estate investment companies (SOCIMIs), must not exceed 20% of share capital. The articles of association of these companies may not establish any other type of restricted reserves.

Merger reserves

The mergers carried out in 2017 (see Note 1.2) generated positive merger reserves of EUR 1,629 thousand. As a result of the merger by absorption of Testa Inmuebles en Renta SOCIMI, S.A. with the Company in 2016, this transaction generated negative merger reserves in the amount of EUR 311,556 thousand.

11.3 Treasury shares

At 31 December 2017, the Company held treasury shares amounting to EUR 24,881 thousand.

The changes in 2017 were as follows:

	Number of shares	Thousands of euros
Balance at 31 December 2015	-	-
Additions	133,299	1,369
Disposals	(123,069)	(1,264)
Balance at 31 December 2016	10,230	105
Additions	3,300,000	35,393
Disposals	(990,000)	(10,617)
Balance at 31 December 2017	2,320,230	24,881

On 6 April 2016, the Company's shareholders authorised the Board of Directors to acquire treasury shares up to a maximum of 10% of the Company's share capital. The shareholders at the General Meeting held on 26 April 2017 revoked the aforementioned authorisation and once again authorised the Board Directors to acquire treasury shares on the part of the company itself or a Group company pursuant to Article 146 et seq. of the Spanish Corporate Enterprises Act, in accordance with the requirements and restrictions established in prevailing legislation during the five-year period. The authorisation includes the acquisition of shares that, where applicable, must be handed over directly to employees or directors of the Parent or of Group companies as a result of the purchase option they hold or for the settlement and payment of share-based incentive plans of which they are beneficiaries.

The additions in 2017 correspond to the acquisition of 3,300,000 treasury shares representing 0.70% of its share capital within the framework of the divestment process carried out by the former shareholder Banco Popular Español, S.A. The shares were purchased at a price of EUR 10.725 per share. The total investment amounted to EUR 35,393 thousand.

The disposals of treasury shares, amounting to EUR 10,617 thousand (average cost of EUR 10.27 per share), relate to the early delivery of shares made to executive directors and senior management corresponding to the variable remuneration incentive in the 2016 Share Plan agreed upon therewith (see Note 18).

11.4 Interim dividend

On 9 October 2017, the Company's Board of Directors resolved to distribute EUR 93,457 thousand as an interim dividend with a charge to profit for 2017. This interim dividend was paid to shareholders on 25 October 2017.

11.5 Valuation adjustments

This heading of the statement of financial position includes changes in the value of financial derivatives designated as cash flow hedges. The changes in the balance of this heading in 2017 are as follows:

	Thousands of euros
Balance at 31 December 2015	-
Changes in the fair value of hedges in 2016	(7,318)
Balance at 31 December 2016	(7,318)
Changes in the fair value of hedges in 2017	2,874
Balance at 31 December 2017	(4,444)

12. Current and non-current financial liabilities

The detail of current and non-current liabilities at 31 December 2017 is as follows:

	Thousands of euros	
	2017	2016
Non-current:		
<i>Measured at amortised cost</i>		
Syndicated loan	840,000	1,220,000
Syndicated loan arrangement expenses	(5,444)	(12,082)
Total syndicated loan	834,556	1,207,918
Revolving credit facility	-	180,000
Leases, credit facilities and loans	-	124,910
Loan arrangement expenses	-	(263)
Total other loans	-	304,648
Debentures and bonds	3,250,000	2,350,000
Debenture issue expenses	(28,683)	(22,655)
Total debentures and bonds	3,221,317	2,327,345
Total amortised cost	4,055,873	3,839,911
<i>Measured at fair value</i>		
Derivative financial instruments	1,814	17,391
Total at fair value	1,814	17,391
Total non-current	4,057,687	3,857,301
Current:		
<i>Measured at amortised cost</i>		
Syndicated loan	1,002	1,474
Debentures and bonds	34,007	25,629
Leases, credit facilities and loans	123,555	10,849
Revolving credit facility	112	225
Total amortised cost	158,676	38,177
<i>Measured at fair value</i>		
Derivative financial instruments	1,581	1,186
Total at fair value	1,581	1,186
Total current	160,257	39,363

There is no material difference between the carrying amount and the fair value of financial liabilities at amortised cost.

On 20 April 2016, the Company was given a credit rating of “BBB” by Standard & Poor’s Rating Credit Market Services Europe Limited. Additionally, on 17 October 2016, the Company was given a credit rating of investment grade “Baa2” by Moody’s.

12.1 Loans

The detail of loans at 31 December 2017 is as follows:

2017

	Thousands of euros				
	Bank borrowings				
	Limit	Debt arrangement expenses	31/12/2017		Short-term interest
			Non-current	Current	
Syndicated loan	1,220,000	(5,444)	840,000	-	1,002
Leases (Note 10)	149,125	-	-	123,555	-
Revolving credit facilities	420,000	-	-	-	112
Total	1,789,125	(5,444)	840,000	123,555	1,114

2016

	Thousands of euros				
	Bank borrowings				
	Limit	Debt arrangement expenses	31/12/2016		Short-term interest
			Non-current	Current	
Syndicated loan	1,720,000	(12,082)	1,220,000	-	1,474
Leases	149,125	(263)	124,911	10,849	-
Revolving credit facilities	420,000	-	180,000	-	225
Total	2,289,125	(12,345)	1,524,911	10,849	1,699

Syndicated loans and revolving credit facilities - Parent

On 24 October 2016, a novation and amendment to the syndicated financing without mortgage guarantee was signed, whereby the syndicated financing from Metrovacesa was consolidated therein (without changing the interest rate or maturity date). At year-end 2016, this financing had three tranches:

- The first tranche consists of a loan with a corporate guarantee of EUR 850,000 thousand, which matures in June 2021 and has an interest rate of EURIBOR + 160 basis points. The first tranche was repaid in full upon maturity.
- The second tranche consists of a loan of EUR 370,000 thousand, which is expected to mature in April 2021 and has an initial cost of EURIBOR + 170 basis points tied to the company's rating (the spread currently amounts to 155 basis points).
- The third tranche consists of a revolving credit facility in the amount of EUR 100,000 thousand. The credit facility matures in April 2021 and accrues interest at a rate of EURIBOR + 130 basis points tied to the company's rating (the spread currently amounts to 115 basis points). This financing will be allocated to the acquisition of new property assets. At 31 December 2016, EUR 60,000 thousand had been drawn down on this credit facility.

In addition, on 21 June 2016 the Company arranged a revolving credit facility with a group of 12 financial institutions in the amount of EUR 320,000 thousand. The current maturity date of the credit facility is June 2020, but it has the

possibility of being extended for an additional year (final maturity in June 2021). The credit facility accrues interest at a rate of EURIBOR + 140 basis point. This financing will be allocated to the acquisition of new property assets. At 31 December 2016, EUR 120,000 thousand had been drawn down on this credit facility.

In 2017 the Company voluntarily repaid the loans of the syndicated financing in the amount of EUR 320,000 thousand and EUR 60,000 thousand (first and second tranche, respectively), as well as EUR 60,000 thousand and EUR 120,000 thousand corresponding to revolving credit facilities.

This secured corporate bank financing has certain disclosure obligations regarding the separate and consolidated financial statements and the budgets. The Company must also comply with certain obligations regarding coverage ratios on a quarterly basis. At year-end 2017, the Company complied with the covenants established and the directors consider that they will be met in 2018.

Maturity of debt

The detail, by maturity, of these loans is as follows:

	Thousands of euros			
	Syndicated loan	Leases	Revolving credit facility	Total
2018	-	123,555	-	123,555
2019	-	-	-	-
2020	-	-	-	-
2021	840,000	-	-	840,000
More than 5 years	-	-	-	-
	840,000	123,555	-	963,555

The Company had undrawn loans and credit facilities at 31 December 2017 with a number of financial institutions totalling EUR 420,000 thousand.

None of the Company's debt was denominated in non-euro currencies at 31 December 2017.

There are no significant differences between the fair values and carrying amounts of the Company's financial liabilities.

The finance cost for interest on the loans totalled EUR 18,472 thousand in 2017 (EUR 21,841 thousand in 2016) and is recognised in the accompanying income statement for 2017.

At 31 December 2017, the debt arrangement expenses had been deducted from the balance of "Bank borrowings". In 2017, the Company recognised EUR 5,147 thousand (EUR 14,524 thousand in 2016) associated with the debt under "Finance costs" in the accompanying income statement for 2017.

12.2 Debenture issues

On 12 May 2017, the Parent subscribed a Euro Medium Term Notes (EMTN) issue programme of up to EUR 4,000 million, which will replace the original bond issue programme and its supplement subscribed on 25 April 2016 and 14 October 2016, respectively, for an overall maximum amount of EUR 2,000 million.

On 26 May 2017, a non-subordinated ordinary bond issue was carried out on the Euromarket for a total of EUR 600 million. The bonds were issued at 99.417% of their face value, maturing after 8 years with an annual coupon of 1.750%, payable annually in arrears. At 29 December 2017, the bond was trading at around MS +108 basis points, equal to a yield of approximately 1.65%.

On 18 September 2017, a non-subordinated ordinary bond issue was carried out on the Euromarket for a total of EUR 300 million. The bonds were issued at 98.718% of their face value, maturing after 12 years with an annual coupon of 2.375%, payable annually in arrears. At 29 December 2017, the bond was trading at around MS +134 basis points, equal to a yield of approximately 2.35%.

The terms and conditions of the bonds issued abide by UK laws and are traded on the Luxembourg Stock Exchange. The bond issue has the same guarantees and ratio compliance obligations as the syndicated loan and the revolving credit facility.

The funds obtained in both issues were allocated to the early repayment of the syndicated and mortgage debt described in this Note and to the Group's general uses.

The detail at 31 December 2017 of the bonds issued by Parent is as follows:

Maturity	Nominal amount (millions of euros)	Coupon	Listed price	Return	Market
May 2022	700	2.375%	MS + 66 bp	0.93%	Ireland (*)
April 2023	850	2.225%	MS + 83 bp	1.18%	Luxembourg
May 2025	600	1.750%	MS + 108 bp	1.65%	Luxembourg
November 2026	800	1.875%	MS + 115 bp	1.90%	Luxembourg
September 2029	300	2.375%	MS + 134 bp	2.35%	Luxembourg
	3,250	2.097%			

(*) Due to the business combination with Metrovacesa carried out in 2016, the Company recognised a bond issue launched by Metrovacesa for EUR 700 million. The terms and conditions of the bonds abide by UK laws and are traded on the Irish Stock Exchange. This issue also includes a series of compliance obligations and guarantees, which is common in these types of transactions. At year-end 2017, the Company complied with the covenants set forth in this contract and the directors consider that they will be met in 2018.

The finance cost for interest on the debenture issues amounted to EUR 58,916 thousand (EUR 20,468 thousand in 2016) and is recognised in the accompanying income statement for 2017. The accrued interest payable at 31 December 2017 amounted to EUR 34,007 thousand (EUR 25,629 thousand in 2016). Debt arrangement expenses taken to the income statement in 2017 amounted to EUR 3,702 thousand (EUR 547 thousand in 2016).

12.3 Derivatives

In 2016, within the framework of the syndicated financing without mortgage guarantee signed, the Parent subscribed an interest rate hedge (IRS), which matures in 2021, for 70% of the notional amount, i.e., EUR 595,000 thousand and a cost of 0.0981%. Following the early repayment of EUR 320,000 thousand relating to Tranche A of the Parent's syndicated financing, the notional amount of this hedge was reduced to EUR 530,000 thousand, thus obtaining a coverage ratio of 100%.

In addition, tied to the syndicated financing without mortgage guarantee from Metrovacesa, it includes an interest rate hedge (IRS), which matures in 2021, for a notional amount of EUR 310,000 thousand and a cost of -0.12%.

The detail of the financial instruments at 31 December 2017 is as follows:

	Thousands of euros
Non-current	
Interest rate derivatives	1,814
Total non-current	1,814
Current	
Interest rate derivatives	1,581
Total current	1,581

13. Other current and non-current liabilities

The detail of these headings at 31 December 2017 is as follows:

	Thousands of euros			
	2017		2016	
	Non-current	Current	Non-current	Current
Provisions	69,715	867	28,382	867
Other payables	3,000	-	3,248	-
Guarantees and deposits received	44,466	-	45,058	-
Other liabilities	-	3,062	-	2,701
Total	117,181	3,929	76,688	3,568

“Provisions” includes mainly the provision for the variable remuneration indicated in Note 18 amounting to EUR 44,455 thousand (EUR 10,159 thousand in 2016) and that will be paid in the long term.

This heading also includes the provisions for the measurement of risk associated with a number of lawsuits and claims filed by third parties arising from the Company’s activity, which were recognised in accordance with the best existing estimates. These most notably include the liabilities for tax debts for which there are uncertainties as to their amount or timing, whereby it is likely that the Group may have to dispose of resources to cancel these obligations as the result of a present obligation. At 31 December 2017, of these provisions amounted to EUR 7,463 thousand (EUR 5,235 thousand at 31 December 2016).

“Guarantees and deposits received” includes mainly the guarantee deposits paid by lessees, which will be reimbursed at the end of the lease term.

14. Trade and other payables

The detail of trade and other payables is as follows:

	Thousands of euros	
	2017	2016
Trade and other payables:		
Payable to suppliers	25,887	46,169
Payable to suppliers - Group companies and associates (Note 8)	32,007	32,079
Sundry accounts payable	5,503	25,005
Remuneration payable	7,876	11,831
Current tax liabilities	-	12,680
Other accounts payable to public authorities (Note 15)	9,560	3,961
Customer advances	58	604
Total	80,891	132,329

The directors consider that the carrying amount of trade payables approximates their fair value.

Information on the average period of payment to suppliers. Final provision two of Spanish Law 31/2014, of 3 December

Set forth below are the disclosures required by additional provision three of Spanish Law 15/2010, of 5 July (amended by final provision two of Spanish Law 31/2014, of 3 December), prepared in accordance with the Spanish Accounting and Audit Institute (ICAC) Resolution of 29 January 2016 on the disclosures to be included in the notes to financial statements in relation to the average period of payment to suppliers in commercial transactions.

	2017	2016
	Days	Days
Average period of payment to suppliers	44.1	59.5
Ratio of transactions paid	44.2	55.0
Ratio of payments pending	43.1	76.0
	Thousands of euros	Thousands of euros
Total payments made	158,454	14,774
Total payments pending	15,002	4,025

In accordance with the ICAC Resolution, the average period of payment to suppliers was calculated by taking into account the commercial transactions corresponding to the delivery of goods or provision of services that took place from the date of entry into force of Spanish Law 31/2014, of 3 December.

For the exclusive purpose of providing the information envisaged in this Resolution, payable to suppliers are considered trade payables for debts with suppliers of goods and services, included under "Trade and other payables" under current liabilities in the balance sheet.

"Average period of payment to suppliers" is understood as the time elapsed between the date the supplier delivers the goods or provides the services and the date of actual payment.

The maximum payment period applicable to the Company in 2014 and 2015 under Spanish Law 3/2004, of 29 December, establishing measures to combat late payment in commercial transactions, and pursuant to the transitional provisions contained in Spanish Law 15/2010, of 5 July, was 60 days until the publication of Spanish Law 11/2013, of 26 July, and 30 days since publication of the aforementioned law (unless the conditions mentioned in this law are met, in which case the maximum payment period may be increased to 60 days).

15. Tax matters

The breakdown of the tax receivables and payables at 31 December 2017 and 2016 is as follows:

	Thousands of euros	
	2017	2016
Tax receivables:		
Non-current-		
Deferred tax assets	108,064	111,015
Current-		
Current tax assets	555	
VAT refundable	1,748	-
Input VAT	2,289	-
Other tax receivables	117	8,565
	112,773	119,580
Tax payables:		
Non-current-		
Deferred tax liabilities	432,255	459,862
Current-		
VAT payable	5,320	3,608
Deferred output VAT	2,229	-
Personal income tax withholdings payable	1,841	172
Accrued social security taxes payable	160	181
Current tax liabilities	-	12,680
Other	10	-
Total	441,815	476,503

15.1 Reconciliation of the accounting profit to the taxable profit

At 31 December 2017, the taxable profit was calculated as the accounting profit for the year. The reconciliation of the accounting profit, the taxable profit for income tax purposes and the income tax payable or refundable at 31 December 2017 is as follows (in thousands of euros):

	Thousands of euros	
	2017	2016
Accounting profit before tax	78,051	118,070
Permanent differences	127,101	4,988
Taxable profit prior to offsetting tax losses	205,152	123,058
Offset of tax losses	-	(28,076)
Taxable profit	205,152	94,982
Taxable profit under the SOCIMI regime	206,047	10,755
Taxable profit at the standard tax rate	(895)	84,227
Total tax charge	-	21,057

Tax charge under the SOCIMI regime (0%)	-	-
Tax charge under the general regime	-	21,057
Adjustments to the tax charge:	318	4,435
Tax credit for reinvestment	-	(4,592)
Tax credit for temporary measures	-	(202)
Dissolution of the tax group of the business combination	-	1,943
Prepayments	(873)	(9,961)
Income tax payable/(refundable)	(555)	12,680

Capital increase expenses are treated as permanent differences because the applicable tax rate is 0%.

15.2 Reconciliation of accounting profit to the tax expense

	Thousands of euros	
	2017	2016
Accounting profit/(loss) before tax	78,051	118,070
Effect of permanent differences	127,101	4,988
Accounting profit	205,152	123,058
Accounting profit under the SOCIMI regime	206,047	93,175
Accounting profit under the general regime	(895)	29,883
Tax charge	-	7,471
Adjustments due to disposal of assets	(318)	(157)
Other	-	(8,210)
Total current income tax expense	(318)	(896)
Adjustments to deferred tax assets	(5,337)	-
Adjustments to deferred tax liabilities for waiver of the special regime	42,139	-
Total deferred tax expense	36,802	-
Total tax expense	36,484	(896)

The detail of the income tax (expense)/income at year-end 2017 and 2016 is as follows:

	Thousands of euros	
	2017	2016
Current tax:		
Continuing operations	(318)	19,507
Deferred tax:		
Continuing operations	36,802	(20,403)
Total tax (income)/expense	36,484	(896)

15.3 Deferred tax assets recognised

The changes in 2017 in the deferred tax assets recognised are as follows:

	Thousands of Euros
Total deferred tax assets at 31 December 2016	111,015
Under waiver of the special regime	(2,951)
Total deferred tax assets at 31 December 2017	108,064

	Thousands of Euros
Total deferred tax assets at 31 December 2015	-
Additions due to mergers	11,952
Additions due to business combinations	107,205
Offset of tax losses	(7,019)
Other	(1,123)
Total deferred tax assets at 31 December 2016	111,015

The detail of the tax loss carryforwards at 31 December 2017 is as follows:

2017

	Thousands of euros	
	Recognised in tax base	Tax assets
<i>Tax losses:</i>		
Prior to 2008	1,596	-
2008	-	-
2009	159,816	39,954
2010	1,650	413
2011	86,402	21,600
2012	-	-
2013	-	-
2014	-	-
2015	-	-
2016	-	-
Total tax losses	249,464	61,967
Other deferred taxes recognised	73,497	46,097
Total deferred tax assets capitalised	322,961	108,064

In 2016 the Company incurred tax losses as a result of the merger and business combination carried out during the period.

“Other deferred taxes recognised” includes mainly the temporary differences arising from the limit on the depreciation of the assets from the acquisition of the Testa subgroup and Metrovacesa and unused tax credits mainly for reinvestment.

The deferred tax assets indicated above were recognised in the accompanying balance sheet because the Company’s directors considered that, based on their best estimate of the Company’s future earnings, including certain tax planning measures, it is probable that these assets will be recovered.

In this regard, as a result of the merger of Testa Inmuebles en Renta SOCIMI, S.A. and the property business of Metrovacesa, S.A., tax gains were generated arising from the difference between the values at which the assets were included in the financial statements and their tax bases. In accordance with the SOCIMI regime, the Company will pay tax on these gains when the property asset is sold. The directors therefore estimate that the deferred tax assets will be recovered when the property assets are sold, thus offsetting the aforementioned gains.

The Company had unused tax credits at 31 December 2017 amounting to EUR 21,970 thousand (EUR 27,723 thousand in 2016), mainly due to the tax credits for reinvestment.

At 2017 year-end, the Company did not have any unrecognised tax loss carryforwards

15.4 Deferred tax liabilities

As indicated above, the deferred tax liabilities mainly arose from the merger and the business combinations carried out in 2016, and from the differences between the carrying amounts and the tax bases of the assets received in these transactions.

The changes in “Deferred tax liabilities” at 31 December 2017 were as follows:

	Thousands of Euros
Total deferred tax liabilities at 31 December 2016	459,862
Under waiver of the special regime	(42,139)
Other	14,532
Total deferred tax liabilities at 31 December 2017	432,255

	Thousands of Euros
Total deferred tax liabilities at 31 December 2015	-
Additions due to mergers	188,906
Additions due to business combinations	292,791
Decreases due to asset disposals	(19,752)
Other	(2,083)
Total deferred tax liabilities at 31 December 2016	459,862

As a result of the merger of Testa Inmuebles en Renta SOCIMI, S.A. and the property business of Metrovacesa, S.A., tax gains were generated arising from the difference between the values at which the assets were included in the financial statements and their tax bases. In accordance with the SOCIMI regime, the Company will pay tax on these gains when the property asset is sold.

In May 2017, upon filing income tax returns for the dissolution of Metrovacesa, S.A., the Company waived the tax neutrality regime for several assets from this company and, therefore, derecognised the deferred tax liability assigned thereto amounting to EUR 42,139 thousand.

15.5 Years open for review and tax audits

Under current legislation, taxes cannot be deemed to have been definitively settled until the tax returns filed have been reviewed by the tax authorities or until the four-year statute-of-limitations period has expired.

At 2017 year-end, the Company had all years since their incorporation open for review for all the taxes applicable to them. The Company's managing body considers that the tax returns for the aforementioned taxes have been filed correctly and, therefore, even in the event of discrepancies in the interpretation of current tax legislation in relation to the tax treatment afforded to certain transactions, such liabilities as might arise would not have a material effect on the accompanying financial statements.

Also, Spanish Law 34/2015, of 21 September, partially amending Spanish Law 58/2003, of 17 December on General Taxation, establishes the right of the tax authorities to initiate a review and investigation procedure of the tax losses offset or carried forward or tax credits taken or carried forward, which will become statute barred after ten years from the day on which the regulatory period established for filing the tax return or self-assessment relating to the year or the tax period in which the right to offset the tax loss or to apply the tax credits arose.

The Parent, as the successor of the commercial property business of Metrovacesa, S.A., was subject to a general audit and verification procedure for all of this company's taxes for 2012 to 2014. This audit ended with the signing of the tax assessment on an uncontested basis in February 2018, which did not have a significant effect on these financial statements.

16. Disclosure requirements arising from SOCIMI status, Spanish Law 11/2009, amended by Spanish Law 16/2012

- a) Reserves arising from the years prior to applying the tax regime established in Spanish Law 11/2009, amended by Spanish Law 16/2012, of 27 December.

There are no reserves from years prior to the Company's adherence to the SOCIMI regime, taking into consideration the Company was incorporated in 2014, the year in which it requested to apply the aforementioned tax regime.

- b) Reserves arising from the years in which the tax regime established in this Law was applied, distinguishing between the portion that comes from income subject to a 0% or a 19% tax rate and that which is taxed at the standard tax rate, where applicable.

The reserves that come from income subject to the standard tax rate under the general regime at year-end 2017 and 2016 amounted to EUR 53,017 thousand and EUR 56,912 thousand, respectively.

- c) Dividends distributed with a charge to profit for each year in which the tax regime established in this Law was applied, distinguishing between the portion that comes from income subject to a 0% or a 19% tax rate and that which is taxed at the standard tax rate, where applicable.

An interim dividend was distributed in 2017 with a charge to profit for the year in the amount of EUR 93,457 thousand, from the income subject to the 0% tax rate.

On 26 April 2017, the shareholders at the Company's Annual General Meeting resolved to distribute EUR 47,310 thousand as a dividend with a charge to profit for 2016 from the income subject to a tax rate of 0%.

An interim dividend was distributed in 2016 with a charge to profit for the year in the amount of EUR 59,759 thousand, from the income subject to the 0% tax rate.

A final dividend was distributed in 2016 with a charge to 2015 profit in the amount of EUR 1,838 thousand, from the income subject to the 0% tax rate.

An interim dividend was distributed in 2015 with a charge to profit for the year in the amount of EUR 25,035 thousand, from the income subject to the 0% tax rate.

- d) In the case of dividends distributed with a charge to reserves, indicate the year relating to the reserves applied and whether they were taxed at a rate of 0%, 19% or at the standard tax rate.

No dividends were distributed with a charge to reserves in 2017, 2016 and 2015.

- e) Date of the resolution to distribute dividends referred to in letters c) and d) above.

On 9 October 2017, the Company's Board of Directors resolved to distribute EUR 93,457 thousand as an interim dividend with a charge to profit for 2017. This interim dividend was paid to shareholders on 25 October 2017.

On 26 April 2017, the shareholders at the Company's Annual General Meeting resolved to distribute EUR 47,310 thousand as a dividend with a charge to profit for 2016. This interim dividend was paid to shareholders on 18 May 2017.

On 19 October 2016, the Company's Board of Directors resolved to distribute EUR 59,759 thousand as an interim dividend with a charge to profit for 2016. This interim dividend was paid to shareholders on 25 October 2016.

The shareholders at the Annual General Meeting held on 6 April 2016 approved the distribution of a dividend out of 2015 profit of EUR 1,838 thousand, which was paid to shareholders on 27 April 2016.

On 14 October 2015, the Company's Board of Directors resolved to distribute EUR 25,035 thousand as an interim dividend with a charge to profit for 2016. This interim dividend was paid to shareholders prior to 31 December 2015.

- f) Acquisition date of the properties intended for lease and the ownership interest in the share capital of companies referred to in Article 2.1 of this Law.

Detail in Appendix IV

- g) Identify the assets included in the calculation of the 80% referred to in Article 3.1 of this Law.

100% of the Company's investment property is made up of urban properties intended for lease, as well as land intended for property development and subsequent lease. Accordingly, the majority of the ownership interest in companies complies with the requirements of Article 2.1 of Spanish Law 11/2009. These assets are identified in Appendix IV, which is an integral part of these financial statements.

The Company's consolidated balance sheet for the Merlin Group complies with the minimum investment requirement of 80%.

- h) Reserves arising from the years in which the special tax regime established in this Law was applied, that were drawn down in the tax period, that were not used for distribution or to offset losses, identifying the year relating to these reserves.

There were no drawdowns on reserves in 2017, 2016 and 2015.

17. Balances and transactions with related parties

17.1 Transactions with Group companies and associates

The detail of the transactions with Group companies and associates in 2017 is as follows:

	Thousands of euros	
	2017	2016
Revenue:		
Rendering of services-		
Tree Inversiones Inmobiliarias, SOCIMI, S.A.	1,778	1,779
Trade Center Hotel	-	104
Paseo Comercial Carlos III	50	8
Merlin Retail, S.L.U.	499	499
Merlin Oficinas, S.L.U.	291	256
Merlin Logística, S.L.U.	297	191
Merlin Retail II, S.L.U.	30	28
	2,945	2,865
Dividends-		
Tree Inversiones Inmobiliarias, SOCIMI, S.A.	50,669	23,000
Merlin Retail, S.L.U.	10,939	7,200
Merlin Oficinas, S.L.U.	5,605	7,826
Merlin Logística, S.L.U.	6,684	2,713
Merlin Logística II, S.L.U.	624	-
Sevisur, Logística, S.A.	1,120	-
Merlin Properties Adequa, S.L.	7,860	-
Metroparque, S.A.	8,050	-
La Vital Centro Comercial y de Ocio, S.L.	2,330	-
Metropolitana Castellana, S.L.	2,390	-
Varitelia Distribuciones, S.L.U.	29,680	-
Parking del Palau, S.A.	40	-
Obraser, S.A.	6,155	1,144
Gesfontesta	-	313
Gescentesta, S.L.U.	-	187
Trade Center Hotel, S.L.U.	-	8,695
	132,146	51,078
Interest on loans-		
Sadorma 2003, S.L.	42	-
Varitelia Distribuciones, S.L.U.	319	
MPCVI – Compra e Venda Imobiliária, S.A.	716	717
Provitae Centros Asistenciales, S.L.	4	5
Gesfitesta	26	23
Cilsa, S.A.	376	363
Bardiomar, S.L.	1	5
MP Torre A, S.A.	1,780	1,487
MP Monumental, S.A.	2,175	1,817
Belkyn West Company, S.L.	81	42
Metrovacesa France, S.A.S.	-	29
Promosete Inwestimentos Inmobiliarios, S.A.	657	-
	6,177	4,488
Total	141,268	60,054

At 31 December 2017 and 2016, the Company had entered into a management service agreement with the companies of its Group, by virtue of which it earned income for the provision of services amounting to EUR 2,945 thousand and EUR 2,865 thousand, respectively. These services were recognised under “Revenue” in the accompanying income statement.

17.2 Balances with Group companies and associates

The detail of the balances in the balance sheet at 31 December 2017, detailed in Note 8, is as follows:

	Thousands of euros	
	2017	2016
Long-term loans to Group companies and associates	114,647	141,018
Short-term loans to Group companies and associates	67,891	78,350
Other current financial assets	422,895	432,789
Non-current payables to Group companies and associates	(29,853)	(12,183)
Current payables to Group companies and associates	(40,497)	(35,314)
Receivable from Group companies and associates	2,905	550
Payable to suppliers - Group companies and associates	(32,007)	(32,079)

17.3 Balances and transactions with related parties

	Thousands of euros			
	2017		2016	
	Assets	Liabilities	Assets	Liabilities
Balances:				
Banco Santander, S.A. (a)	235,996	123,691		182,160
Banco Santander, S.A. (a)	-	199,750	-	-
Banco Bilbao Vizcaya Argentaria, S.A. (a)	2,545	46	-	-
Testa Residencial, SOCIMI, S.A. (d)	-	2	-	-
Total	238,541	323.489	-	182,160

	2017		2016	
	Income	Expenses	Income	Expenses
Transactions:				
Banco Santander, S.A. (b)	1,110	4,322	1,642	4,366
Banco Bilbao Vizcaya Argentaria, S.A. (c)	274	200	46	166
Expenses for sublease of Magic Real Estate, S.L.U. (e)	39	-	48	-
Testa Residencial, SOCIMI, S.A. (d)	7,782	-	2,280	-
Total	9,205	4,522	4,016	4,532

(*) Related party in 2017 as it was a shareholder of the Company until December 2017

The detail of the balances and transactions with related parties is as follows:

(a) The Company has been granted loans from its shareholder Banco Santander, S.A. amounting to EUR 123,555 thousand. The notional amount of the current derivatives arranged with Banco Santander, S.A. totals EUR 199,750 thousand. The guarantees received for property leases amount to EUR 136 thousand in the case of leases to Banco Santander, S.A., and EUR 46 thousand in the case of leases to Banco Bilbao Vizcaya, S.A.

In 2017 the finance costs incurred with the shareholder banks amounted to EUR 2,946 thousand.

Accordingly, at 31 December 2017, the Company's balances deposited with Banco Santander, S.A. and Banco Bilbao Vizcaya, S.A. amounted to EUR 235,996 thousand and EUR 2,545 thousand, respectively.

The Company has also been granted guarantee lines by its shareholder Banco Santander, S.A. in the amount of EUR 4,846 and by Banco Bilbao Vizcaya, S.A. in the amount of EUR 5,359 thousand.

The Company made contributions in the amount of EUR 19 thousand to employee pension funds managed by its shareholder Banco Santander, S.A.

(b) Transactions with Banco Santander, S.A.

In 2017 the finance costs associated with financing transactions carried out with Banco Santander, S.A. amounted to EUR 2,904 thousand, whereas the finance cost associated with cash accounts amounted to EUR 52 thousand. These expenses include costs incurred for guarantee fees and current account management amounting to EUR 48 thousand and EUR 4 thousand, respectively. The finance income obtained in 2017 amounted to EUR 103 thousand.

The Company has leased seven properties to Banco Santander, S.A. The term of the lease agreements covers a period of between 1 and 9 years, and in 2017 these agreements generated income of EUR 834 thousand. In 2017, the Company also settled the property expenses arising from the contributions of Banco Santander, S.A. to the former Metrovacesa, S.A. amounting to EUR 239 thousand.

Merlin Properties, Socimi, S.A. entered into a service agreement for the provision of technological support services to Metrovacesa Suelo y Promoción, S.A., a company owned by its shareholder Banco Santander, S.A., for which it received EUR 173 thousand in income. In turn, the Group receives support services for managing the real estate projects of Metrovacesa Suelo y Promoción, S.A., representing an expense of EUR 1,121 thousand at 31 December 2017. In addition, the Group incurred a total of EUR 57 thousand in expenses for organisational services for the General Shareholders' Meeting.

(c) Transactions with Banco Bilbao Vizcaya, S.A.

Accordingly, the Company has leased an office to Banco Bilbao Vizcaya Argentaria, S.A. The term of the lease agreements covers a period of 2 years, and in 2017 these agreements generated income of EUR 274 thousand. In 2017, the Company also settled the property expenses arising from the contributions of Banco Bilbao Vizcaya, S.A. to the former Metrovacesa, S.A. amounting to EUR 159 thousand.

The finance cost associated with the transactions carried out with Banco Bilbao Vizcaya, S.A. totalled EUR 42 thousand and is made up of guarantee fee expenses and current account expenses that gave rise to finance costs of EUR 39 thousand and EUR 3 thousand, respectively.

(d) The Company provides real estate management services for its subsidiary Testa Residencial, SOCIMI, for which it received a consideration of EUR 7,725 thousand. It also received EUR 57 thousand in rental income and common expenses charged for an office, which has a guarantee of EUR 2 thousand associated therewith.

(e) The Company subleases office space to Magic Real Estate, S.L. From January to May 2017, Merlin Properties, Socimi, S.A. subleased 125 square meters of office space to Magic Real Estate, S.L. From May to December 2017, this sublease was replaced by another sublease agreement for a different property, corresponding to a total surface area approximately 20 square meters.

18. Information relating to the Company's Board of Directors and senior executives

The Company's directors and the parties related thereto did not have any conflicts of interest that had to be reported in accordance with Article 229 of the revised text of the Spanish Corporate Enterprises Act.

Remuneration and other benefits of directors

At 31 December 2017 and 2016, salaries, per diem attendance fees and any other type of compensation paid to members of the Company's managing bodies totalled EUR 6,078 thousand and EUR 4,759 thousand, as detailed below:

	Thousands of euros	
	2017	2016
Fixed and variable remuneration	6,067	4,748
Article of Association-stipulated emoluments	-	-
Termination benefits	-	-
Attendance fees	-	-
Life and health insurance	11	11
Total	6,078	4,759

At 31 December 2017, the variable remuneration received by executive directors amounted to EUR 3,050 thousand (EUR 3,650 thousand in 2016). The first 50% of this amount is paid ten days after the Group's financial statements are authorised for issue by the Board Directors. The other 50% will be paid two years after the Company's financial statements were authorised for issue. In this regard, EUR 1,825 thousand corresponding to the bonuses accrued in previous years were paid in 2017.

At 31 December 2017, the amount of variable remuneration paid over the long term amounts to EUR 5,305 thousand, and is recognised under "Long-term provisions" in the accompanying balance sheet

As indicated below in this Note, as members of the management team, executive directors have been awarded a share remuneration plan if they meet certain conditions linked to shareholder return ("2016 Share Plan"). In this regard, at 31 December 2017 the conditions envisaged in the plan were met in order for executive directors to receive an additional 750,000 shares, equal to EUR 8,006 thousand (750,000 shares in 2016). The remuneration policy approved at the General Shareholders' Meeting held on 26 April 2017 stipulates that shares may be delivered early on the dates of the vesting period.

In addition, as members of the management team, executive directors are entitled to receive compensation under the new 2017-2019 remuneration plan granted to the management team in 2017, which is described below.

The breakdown, by board member, of the amounts disclosed above is as follows:

Director		Thousands of euros	
		2017	2016
<i>Directors' remuneration</i>			
Javier García Carranza Benjumea	Chairman - Proprietary director	-	-
Ismael Clemente Orrego	CEO	2,550	2,150
Miguel Ollero Barrera	Executive director	2,500	2,100
Maria Luisa Jordá Castro	Independent director	120	71
Ana García Fau	Independent director	115	71
Alfredo Fernández Agras	Independent director	100	77
George Donald Johnston	Independent director	115	68
John Gómez Hall	Independent director	100	60
Fernando Ortiz Vaamonde	Independent director	110	68
Ana de Pro	Independent director	32	60
Juan María Aguirre Gonzalo	Independent director	115	12
Pilar Caveró Mestre	Independent director	110	11
Francisca Ortega Hernández Agero	Proprietary director	-	-
José Ferris Monera	Proprietary director	100	-
Total		6,067	4,748

The Company did not grant any advances, loans or guarantees to any members of the Board of Directors.

The Company's directors are covered by the "Corporate Third-Party Liability Insurance Policies for Directors and Executives" taken out by the Parent in order to cover possible damages that may be claimed, and that are evidenced as a result of a management error committed by its directors or executives, as well as those of its subsidiaries, in discharging their duties. The premium amounted to an annual total of EUR 152 thousand (EUR 162 thousand in 2016).

Remuneration and other benefits paid to senior executives

The remuneration of the Parent's senior executives, excluding those who are simultaneously members of the Board of Directors (whose remuneration is disclosed above), in 2017 and 2016 is summarised as follows:

2017

Thousands of euros			
Number of persons	Fixed and variable remuneration	Other remuneration	Total
6 (*)	5,376	36	5,412

(*) Includes the Internal Audit Manager

2016

Thousands of euros			
Number of persons	Fixed and variable remuneration	Other remuneration	Total
4	4,405	14	4,419

At 31 December 2017, the variable remuneration received by senior executives amounted to EUR 3,360 thousand (EUR 3,400 thousand in 2016). The first 50% of this amount is paid ten days after the Group's financial statements are authorised for issue by the Board Directors. The other 50% will be paid two years after the Company's financial statements were authorised for issue. In this regard, EUR 1,825 thousand corresponding to the bonuses accrued in previous years were paid in 2017. At 31 December 2017, the amount of variable remuneration paid over the long term amounts to EUR 5,094 thousand, and is recognised under "Long-term provisions" in the accompanying balance sheet

The Company also had a commitment to award an additional annual variable remuneration incentive to the management team as determined by the Appointments and Remuneration Committee, linked to the Company's shares, which compensates the Company's management team based on the returns obtained by the Company's shareholders (the "2016 Share Plan"). In accordance with the terms and conditions of this plan, members of senior management must remain at the Group and provide their services for a period of three years, whereby the shares will be delivered on the fifth year.

In this regard, at 31 December 2016 the conditions envisaged in the plan were met in order for senior management to receive an additional 623,334 shares, equal to EUR 6,654 thousand (623,334 shares in 2016).

The "2016 Share Plan" stipulates that the management team will be entitled to receive a maximum of 6,000,000 shares, provided that they continue to provide services to the Group over the next three years. Furthermore, the right to receive two thirds of these shares is conditional on the Company's financial solvency over the next two years. At 31 December 2017, the Company recognised the expense incurred with a charge to equity in the amount of EUR 15,738 thousand, corresponding to the portion accrued in the 2016 Share Plan, as this obligation must be met with the delivery of the Company's shares.

The shareholders at the Annual General Meeting held on 26 April 2017 authorised the delivery of the shares corresponding to the "2016 Share Plan" on the dates of the vesting period.

Lastly, at the Annual General Meeting held on 26 April 2017, the shareholders approved a new remuneration plan for the management team and other important members of the Company's workforce, the measurement period of which is from 1 January 2017 to 31 December 2019 ("2017-2019 Incentive Plan"). In accordance with this plan, members of the management team may be entitled to receive (i) a certain monetary amount based on the increase in the share price and (ii) shares of the Company, provided that certain objectives are met.

Vesting of the incentive will independently be conditional upon the total rate of return obtained by the shareholder during the three-year period due to:

- the increase in the quoted price of the Parent's share plus the dividends distributed to shareholders during the measurement period; and
- the increase in the EPRA NAV per share of the Parent plus the dividends distributed to shareholders during the measurement period.

In order for the right to the share-based incentive and to the EPRA NAV-based incentive to be vested, the total shareholder rate of return (TSR) must be at least 24%.

TSR NAV / TSR share price	Percentage assigned to beneficiaries ("PR")	Percentage assigned to shareholders
< 24%	0%	100%
≥ 24% and < 36%	6%	94%
≥ 36%	9%	91%

The date for calculating the amount of the incentive tied to the NAV per share and the amount of the incentive tied to the quoted price of the shares will be 31 December 2019. The maximum amount to be received for the incentive tied to the quoted price from 2017 to 2019 will amount to EUR 37.5 million. If the amount of the incentive were to exceed the aforementioned limit, it would be used to supplement the incentive referenced to the NAV per share, if this falls below the maximum limit established in this connection. Also, the maximum amount of the incentive tied to EPRA NAV per share will be EUR 75 million and a maximum of 6,000,000 shares have been allocated for the payment thereof. Lastly, if the value of the maximum number of shares allocated to the plan were below the aforementioned incentive tied to the EPRA NAV, the difference would be paid in cash.

In this regard, at 31 December 2017 the Group recognised the expense incurred with a charge to "Long-term provisions", amounting to EUR 28,100 thousand, corresponding to the vested portion of the 2017-2019 Incentive Plan.

Lastly, as regards "golden parachute" clauses for executive directors and other senior executives of the Company or its Group in the event of dismissal or takeover, these clauses provide for compensation that represented a total commitment of EUR 15,300 thousand at 31 December 2017.

Transactions outside the normal course of business or not on an arm's length basis performed by the managing body

Apart from the transactions with related parties described in Note 17, the Company's managing body did not carry out any transactions with the Company or Group companies outside the normal course of business or were not on an arm's length basis in 2017.

Ownership interest and positions held by directors and parties related thereto in other companies

The Company's directors and the parties related thereto did not have any conflicts of interest that had to be reported in accordance with Article 229 of the revised text of the Spanish Corporate Enterprises Act.

19. Revenue and expenses

19.1 Revenue

The distribution of revenue is as follows:

	Thousands of euros	
	2017	2016
Rental income	230,393	170,525
Revenue from services provided	11,091	4,842
Dividend income	132,146	51,078
Interest income	6,178	4,488
Total revenue	379,808	230,933

The breakdown, by type of activity and geographical market, of rental income for 2017 is as follows:

	Thousands of euros	
	2017	2017%
Offices	158,504	69%
Shopping centres	43,508	19%
Logistics	8,866	4%
High Street retail	8,072	3%
Other	11,443	5%
Total	230,393	100%

Autonomous Community	Thousands of euros	
	2017	2017%
Madrid	159,749	69%
Catalonia	33,634	15%
Andalusia	8,503	4%
Balearic Islands	7,356	3%
Valencia	9,667	4%
Other autonomous communities	11,484	5%
Total	230,393	100%

19.2 Staff costs

The detail of the remuneration expenses for employees at 31 December 2017 is as follows:

	Thousands of euros	
	2017	2016
Wages, salaries and similar expenses	24,595	20,564
Termination benefits	100	4,467
Other employee benefit costs and taxes	1,805	1,210
Variable remuneration	43,839	15,780
Total	70,339	42,021

19.3 Other operating expenses

The detail of this heading of the accompanying income statements is as follows:

	Thousands of euros	
	2017	2016
Non-recoverable expenses of leased properties	19,971	11,936
Outside services-		
Professional services	6,940	5,312
Rent	722	530
Insurance	164	1,325
Purchase of financial investments	3,801	21,493
Utilities and other outside services	1,880	148
Taxes other than income tax	6	10
Losses on, impairment of and change in allowances for trade receivables	1,260	(2,283)
Total other operating expenses	34,744	38,471

19.4 Finance income and finance costs

The detail of the balances of these headings in the income statement is as follows:

	Thousands of euros	
	2017	2016
Interest on deposits and current accounts	594	1,091
Finance income	594	1,091
Interest on loans and other credits	(88,536)	(61,240)
Finance costs	(88,536)	(61,240)
Changes in fair value of financial instruments	5,714	(6,244)
Impairment and other losses (Note 10)	(13,844)	(8,598)
Gains or losses on disposals and other	1,478	34,131
Impairment and gains or losses on disposals of financial instruments	(12,366)	25,533
Financial loss	(94,594)	(40,860)

“Interest on loans and other credits” includes the repayment of the debt arrangement expenses in the amount of EUR 8,849 thousand for 2017 (EUR 11,324 thousand for 2016), applying the effective interest method to the financial debt.

20. Information on employees

The average number of employees in the Company, by professional category, in 2017 and 2016 was as follows:

	Number of employees	
	2017	2016
<i>Professional category</i>		
Executive directors	2	2
Senior executives	6	4
Management team	6	6
Middle management	22	8
Other employees	91	37
Total	127	57

The distribution, by gender, of the Company's workforce at the end of 2017 was as follows:

	2017		2016	
	Women	Men	Women	Men
Executive directors	-	2	-	2
Senior executives	-	4	-	4
Management team	1	5	1	5
Middle management	5	23	5	22
Other employees	51	52	66	60
Total	57	86	72	93

The average number of employees at the Group in 2017 and 2016 with a disability equal to or greater than 33%, by category, was as follows:

	Number of employees	
	2017	2016
<i>Professional category</i>		
Executive directors	-	-
Senior executives	-	-
Management team	-	-
Middle management	-	-
Other employees	4	1
Total	4	1

21. Auditor's fees

In 2017 the fees for financial audit and other services provided by the auditor of the Company's financial statements, Deloitte, S.L., or by companies related to these auditors as a result of control, common ownership or common management, were as follows:

2017

	Thousands of euros
Audit services	126
Other attest services	213
Total audit and related services	339
Other services	-
Tax advisory services	-
Total professional services	-
Total services	339

2016

	Thousands of euros
Audit services	115
Other attest services	285
Total audit and related services	400
Other services	552
Tax advisory services	-
Total professional services	552
Total services	952

“Other audit-related services” includes the attest services carried out by the auditor in the process of issuing bonds, agreed-upon procedures related to compliance with covenants and the limited review of the half-yearly financial information.

22. Information on financial risk management

Financial risk factors

The Company's activities are exposed to various financial risks: market risk, credit risk, liquidity risk and cash flow interest rate risk. The Company's global risk management programme focuses on the uncertainty of the financial markets and aims to minimise the potential adverse effects on the Company's financial returns.

Risk management is controlled by the Company's senior management in accordance with the policies established by the Board of Directors. Senior management identifies, assesses and hedges financial risks in close cooperation with the Company's operating units. The Board provides written policies for global risk management, and specific subjects such as market risk, interest rate risk, liquidity risk and investment of surplus liquidity.

Market risk

Given the current situation of the real estate sector and in order to mitigate the effects thereof, the Company has specific measures in place to minimise said impact on its financial position.

These measures are applied pursuant to the results of sensitivity analyses carried out by the Company on a regular basis. These analyses take into account:

- The economic environment in which the Group operates: designing different economic scenarios and modifying the key variables potentially affecting the Group (interest rates, share price, occupancy rate of investment property, etc.). Identification of interdependent variables and the extent of their relationship.
- Time frame over which the assessment is carried out: the time horizon of the analysis and potential deviations will be taken into account.

Credit risk

Credit risk is defined as the risk of financial loss to which the Company is exposed if a customer or counterparty does not comply with its contractual obligations.

In general, the Company holds its cash and cash equivalents at banks with high credit ratings.

The Company has policies in place to limit the volume of risks posed by customers. Exposure to the risk of being unable to recover receivables is mitigated in the normal course of business through funds or guarantees deposited as collateral.

The Company has formal procedures to identify any impairment of trade receivables. Delays in payment are detected through these procedures and individual analysis by business area and methods are established to estimate impairment loss.

Cash and cash equivalents

The Company has cash and cash equivalents of EUR 295,607 thousand, which represents its maximum exposure to the risk posed by these assets.

Cash and cash equivalents are deposited with banks and financial institutions.

Liquidity risk

Liquidity risk is defined as the risk of the Company encountering difficulties meeting its obligations regarding financial liabilities settled in cash or with other financial assets.

At 31 December 2017, the Company's working capital amounted to EUR 567,856 thousand.

The Company conducts prudent management of liquidity risk by maintaining sufficient cash to meet its payment obligations when they fall due, both in normal and stressed conditions, without incurring unacceptable losses or risking the Company's reputation.

Cash flow interest rate risk

At 31 December 2017, the Company held current financial assets earning interest at a fixed rate (deposits) to obtain return on the surplus cash not invested in investment property.

The Company manages its interest rate risk by borrowing at fixed and floating rates of interest. The Company's policy is to ensure non-current net financing from third parties is at a fixed rate.

Foreign currency risk

The Company is not exposed to exchange rate fluctuations as all its operations are in its functional currency.

Tax risk

As mentioned in Note 1, the Company qualified for the special tax regime for listed real estate investment companies (SOCIMI). The transitional period ended in 2017 and, therefore, compliance with all requirements established by the regime (see Notes 1 and 4.11) became mandatory. Some of the more formal obligations that the Company must meet involve the inclusion of the term SOCIMI in its company name, the inclusion of certain information in the notes to its separate financial statements, the share price on the stock market, etc., and other obligations that require estimates to be made and judgements to be applied by management (calculation of taxable rental income, testing rental income, testing assets, etc.) that may become fairly complex, especially considering that the SOCIMI regime is relatively recent and was developed by the Directorate-General of Taxes mainly in response to the queries posed by various companies. In this regard, Company management, with the support of its tax advisors, assessed compliance with the requirements of the regime, concluding that such requirements were met at 31 December 2017.

Accordingly, and also for the purpose of taking into consideration the financial effect of the regime, it should be noted that, as established in Article 6 of Spanish Law 11/2009, of 26 October, amended by Spanish Law 16/2012, of 27 December, SOCIMIs that have opted for the special tax regime are required to distribute the profit generated during the year to their shareholders in the form of dividends, once the related corporate obligations have been met. This distribution must be approved within six months from each year-end, and the dividends paid in the month following the date on which the pay-out is agreed (see Note 16).

If the Company does not comply with the requirements established in the regime or if the shareholders at the General Meetings of these companies do not approve the dividend distribution proposed by the Board of Directors, calculated in accordance with the requirements of this Law, it would not be complying therewith and, accordingly, tax would have to be paid under the general regime, not the regime applicable to SOCIMIs.

23. Guarantee commitments to third parties and other contingent liabilities

At 31 December 2017 and 2016, the Company had granted bank guarantees amounting to EUR 35,026 thousand and EUR 70,955 thousand, respectively.

24. Events after the reporting date

On 3 January 2018, in accordance with clause 9.3 of the management service agreement entered into with Merlin Properties SOCIMI, S.A., Testa Residencial SOCIMI, S.A. notified Merlin Properties SOCIMI, S.A. of the withdrawal from the aforementioned agreement effective as of 19 January 2018. As consideration for the cancellation, Testa Residencial SOCIMI, S.A. increased share capital through the cancellation of debt by receiving 640,693,342 shares from Merlin Properties SOCIMI, S.A., which will increase its ownership interest to 16.95% of the share capital of Testa Residencial SOCIMI, S.A.

On 13 February 2018, the Company repaid the lease amounts outstanding for a total of EUR 122.6 million at that date.

APPENDIX I - Group companies and associates 2017

			Thousands of euros									
Company	Line of business / Location	Ownership interest	Share capital	Profit/(Loss)		Remaining shareholders' equity	Total equity	Dividends received	Carrying amount		Consolidation method	Auditor
				Operations	Net				Cost	Impairment		
Tree Inversiones Inmobiliarias, SOCIMI, S.A.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	9,323	79,191	42,460	35,605	56,857	50,669	657,984	-	Full consolidation	Deloitte
Merlin Logística, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	24,418	9,425	8,236	216,201	248,394	6,685	244,153	-	Full consolidation	Deloitte
Merlin Retail, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	17,963	15,771	10,859	157,372	185,782	10,939	179,608	-	Full consolidation	Deloitte
Merlin Oficinas, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	19,699	11,735	6,541	172,029	198,269	5,605	196,959	-	Full consolidation	Deloitte
MPEP – Properties Escritórios Portugal, S.A.	Acquisition and development of property assets for lease / Av. Fontes Pereira de Melo, 51, Lisbon	100%	50	(10)	(10)	(9)	31	-	50	(19)	Full consolidation	Deloitte Portugal
MPCVI – Compra e Venda Imobiliária, S.A.	Acquisition and development of property assets for lease / Av. Fontes Pereira de Melo, 51, Lisbon	100%	1,050	1,360	500	5890	7,440	-	6,418	-	Full consolidation	Deloitte Portugal
Merlin Logística II, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	300	765	531	3,748	4,487	624	10,671	-	Full consolidation	Deloitte
Obraser, S.A.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	4,121	3,405	3,376	32,805	40,303	6,156	71,800	-	Full consolidation	N/A

Thousands of euros												
Company	Line of business / Location	Ownership interest	Share capital	Profit/(Loss)		Remaining shareholders' equity	Total equity	Dividends received	Carrying amount		Consolidation method	Auditor
				Operations	Net				Cost	Impairment		
MP Torre A, S.A.	Acquisition and development of property assets for lease / Avda Fontes Pereira de Melo, 51, Lisbon	100%	50	1,977	111	1,558	1,719	-	10,186	-	Full consolidation	Deloitte Portugal
MP Monumental, S.A.	Acquisition and development of property assets for lease / Avda Fontes Pereira de Melo, 51, Lisbon	100%	50	3,772	1,045	11,497	12,592	-	20,348	-	Full consolidation	Deloitte Portugal
Merlin Properties Adequa, S.L.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	5,075	8,285	8,404	269,761	283,240	7,860	379,560	-	Full consolidation	Deloitte
Belkyn West Company, S.L.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	337	(6)	(129)	2998	3206	-	3,343	(137)	Full consolidation	N/A
Merlin Parques Logísticos, S.A.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	69,802	2,159	7,965	2,554	80,326	-	118,310	-	Full consolidation	Deloitte
Gescentesta, S.L.U.	Provision of services / Paseo de la Castellana 257, Madrid	100%	3	185	165	224	392		3	-	Full consolidation	N/A
Gesfitesta, S.L. (formerly Itaceco, S.L.U.)	No activity / Paseo de la Castellana 257, Madrid	100%	6	(46)	(71)	(270)	(335)	-	6	(341)	Full consolidation	N/A
Testa Hoteles, S.A.	No activity / Paseo de la Castellana 257, Madrid	100%	180	0	18	4,102	4,300	-	4,287	-	Full consolidation	N/A
La Vital Centro Comercial y de Ocio, S.L.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	14,846	2,901	2,941	14,500	32,287	2,330	56,788	-	Full consolidation	Deloitte
Inmobiliaria Metrogolf, S.A.	No activity / Alameda das Linhas de Torres, 152, Lisbon	100%	1000	(53)	(53)	2,681	3,628	-	3,709	(85)	Full consolidation	PKF & Asociados SROC
Metropolitana Castellana, S.L.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	2,343	2,565	2,562	34,887	39,792	2,390	90,859	-	Full consolidation	Deloitte

			Thousands of euros									
Company	Line of business / Location	Ownership interest	Share capital	Profit/(Loss)		Remaining shareholders' equity	Total equity	Dividends received	Carrying amount		Consolidation method	Auditor
				Operations	Net				Cost	Impairment		
Acoghe, S.L.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	400	(13)	(6)	(104)	290	-	300	(10)	Full consolidation	N/A
Holding Jaureguizar 2002, S.A.	No activity / Paseo de la Castellana 257, Madrid	100%	1,481	(3)	(3)	(6,722)	(5,244)	-	-	(5,244)	Full consolidation	N/A
Sadorma 2003, S.L.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	73	624	218	19,696	19,987	-	25,485	(5,498)	Full consolidation	N/A
Global Murex Iberia, S.L.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	14	(1)	(1)	(15,547)	(15,535)	-	-	(15,535)	Full consolidation	N/A
Global Carihuela, Patrimonio Comercial, S.A.	Acquisition and development of property assets for lease / Paseo de la Castellana 257, Madrid	100%	1,603	(1,468)	(1,482)	13,285	13,405	-	17,102	-	Full consolidation	N/A
Promosete, Invest Inmobiliaria, S.A.	Acquisition and development of property assets for lease Av. Fontes Pereira de Melo, 51,Lisbon	100%	200	621	40	6,008	6,248	-	11,704	-	Full consolidation	Deloitte Portugal
Praça Do Marquês, Serviços Auxiliares, S.A.	Acquisition and development of property assets for lease Av. Fontes Pereira de Melo, 51,Lisbon	100%	15,893	1,452	3,037	41,922	60,852	-	60,382	-	Full consolidation	Victor Olivera
Sevisur Logística, S.A.	Urban development, construction and operation of buildings for logistics activities and common services. Ctra. de la Esclusa, 15. 41011, Seville	100%	17,220	1,766	1,550	6,651	25,420	1,120	37,628	-	Full consolidation	N/A
VFX Logística, S.A. (1)	Acquisition and development of property assets for lease / Av. Fontes Pereira de Melo, 51, Lisbon	100%	5,050	852	812	17,783	23,644	-	50,188	-26,565	Full consolidation	Deloitte Portugal
Parques Logísticos de la Zona Franca, S.A. (1)	Acquisition and development of property assets for lease / Av. 3 del Parc Logistic, 26, Barcelona	90%	15,701	4,948	2,889	9,718	28,248	-	23,671	-	Full consolidation	Deloitte
Varitelia Distribuciones, S.L.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	15,443	33,388	34,245	(32,289)	17,399	29,680	154,400	(137,001)	Full consolidation	Deloitte

			Thousands of euros									
Company	Line of business / Location	Ownership interest	Share capital	Profit/(Loss)		Remaining shareholders' equity	Total equity	Dividends received	Carrying amount		Consolidation method	Auditor
				Operations	Net				Cost	Impairment		
Metroparque, S.A.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	56,194	11,458	11,670	18,856	86,719	8,050	231,557	-	Full consolidation	Deloitte
Desarrollo Urbano de Patraix, S.A.	Land management / Avda. Barón de Carcer, 50, Valencia	100%	2,790	(6,527)	(6,809)	22,300	18,281	-	25,090	(6,809)	Full consolidation	N/A
Paseo Comercial Carlos III, S.A.	Acquisition and development of property assets for lease / Avda. San Martín Valdeiglesias, 20 - 28922 Madrid	50%	8,698	3,809	2,734	21,839	33,271	-	25,668	-	Equity method	Morison ACPM
Testa Residencial, Socimi, S.A.	Acquisition and development of property assets for lease / Paseo de la Castellana 83-85, Madrid	12.72%	125,863	4,573	(3,212)	1,413,469	1,535,785	-	144,369	-	Full consolidation	Deloitte
Centro Intermodal de Logística S.A. (CILSA)	Development, management and performance of logistics activities in a port system / Avenida Ports d'Europa 100, Barcelona	48.50%	18,920	10,759	6,085	90,880	121,290	-	95,688	-	Equity method	KPMG
Provitae Centros Asistenciales, S.L.	Acquisition and development of property assets for lease / C. Fuencarral, 123. Madrid	50%	6,314	(43)	(53)	(961)	5,300	-	5,061	(511)	Equity method	N/A
PK. Inversiones 22, S.L.	Provision of services / C. Príncipe de Vergara, 15. Madrid	50%	60	-	-	(24)	36	-	30	(13)	Equity method	N/A
Pazo de Congresos de Vigo, S.A.	Project for the execution, construction and operation of the Vigo Convention Centre / Avda. García Barbón, I. Vigo	44%	11,100	(966)	(1,015)	(1,153)	8,932	-	-	(3,600)	Equity method	EY
PK. Hoteles 22, S.L.	Acquisition and development of property assets for lease / C. Príncipe de Vergara, 15. Madrid	32.50%	5,801	503	298	(680)	5,423	-	2,467	(633)	Equity method	N/A
Araba Logística,S.A. (1)	Acquisition and development of property assets for lease	25.14%	1,750	(569)	(3,761)	2,186	175	-	20,669	(20,669)	Equity method	Deloitte
Parking del Palau, S.A.	Acquisition and development of property assets for lease / Paseo de la Alameda, s/n. Valencia	33%	1,998	223	167	322	2487	40-	2,137	-	Equity method	N/A

(1) Indirect ownership
interest

APPENDIX I - Group companies and associates 2016

			Thousands of euros									
Company	Line of business / Location	Ownership interest	Share capital	Profit/(Loss)		Other equity	Total equity	Dividends received	Carrying amount		Consolidation method	Auditor
				Operations	Net				Cost	Impairment		
Tree Inversiones Inmobiliarias, SOCIMI, S.A.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	9,323	85,296	42,773	43,885	95,981	23,000	657,984	-	Full consolidation	Deloitte
Merlin Logística, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	12,418	5,781	4,218	110,052	126,688	2,713	124,153	-	Full consolidation	Deloitte
Merlin Retail, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	17,963	15,197	9,932	157,501	185,396	7,200	179,608	-	Full consolidation	Deloitte
Merlin Oficinas, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	16,779	10,806	7,840	142,118	166,737	7,826	167,759	-	Full consolidation	Deloitte
MPEP – Properties Escritórios Portugal, S.A.	Acquisition and development of property assets for lease / Rua Eça de Queirós 20, Lisbon	100%	50	(7)	(7)	(2)	41	-	50	-	Full consolidation	Deloitte Portugal
MPCVI – Compra e Venda Imobiliária, S.A.	Acquisition and development of property assets for lease / Rua Eça de Queirós 20, Lisbon	100%	1,050	1,313	457	5,433	6,940	-	6,418	-	Full consolidation	Deloitte Portugal
Merlin Logística II, S.L.U.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	300	622	293	4,079	4,672	-	10,671	-	Full consolidation	Deloitte
Obraser, S.A.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	601	3,827	3,969	3,312	7,882	1,144	36,600	-	Full consolidation	N/A

			Thousands of euros									
Company	Line of business / Location	Ownership interest	Share capital	Profit/(Loss)		Other equity	Total equity	Dividends received	Carrying amount		Consolidation method	Auditor
				Operations	Net				Cost	Impairment		
MP Torre A, S.A.	Acquisition and development of property assets for lease / Avda Fontes Pereira de Melo, 51, Lisbon	100%	50	1,710	(196)	1,754	1,608	-	10,186	-	Full consolidation	EY
MP Monumental, S.A.	Acquisition and development of property assets for lease / Avda Fontes Pereira de Melo, 51, Lisbon	100%	50	3,576	855	10,642	11,547	-	20,348	-	Full consolidation	EY
Merlin Properties Adequa, S.L.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	5,075	4,527	(3,920)	281,541	282,696	-	378,755	-	Full consolidation	Deloitte
Belkyn West Company, S.L.	Acquisition and development of property assets for lease / Paseo de la Castellana 42, Madrid	100%	3	(27)	(27)	-	(24)	-	3	-	Full consolidation	N/A
Merlin Parques Logísticos, S.A.U.	Acquisition and development of property assets for lease / Avda 3 del Parc Logistic, 26, Barcelona	100%	69,802	228	2,226	2,717	74,745	-	115,292	-	Full consolidation	Deloitte
Gescentesta, S.L.U.	Provision of services / Paseo de la Castellana 83-85. Madrid	100%	3	290	224	-	227	187	3	-	Full consolidation	N/A
Gesfitesta, S.L. (formerly Itaceco, S.L.U.)	No activity / Paseo de la Castellana 83-85. Madrid	100%	6	(320)	(409)	139	(264)	-	6	-	Full consolidation	N/A
Testa Hoteles, S.A.	No activity / Paseo de la Castellana 83-85. Madrid	100%	180	(1)	(1)	4,103	4,282	-	4,287	-	Full consolidation	N/A
La Vital Centro Comercial y de Ocio, S.L. (1)	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	14,010	2,699	2,024	7,471	23,505	-		-	Full consolidation	Deloitte
Inmobiliaria Metrogolf, S.A.	No activity / Alameda das Linhas de Torres, 152, Lisbon	100%	1	(19)	(19)	3,720	3,702	-	3,709	-	Full consolidation	PKF & Asociados SROC
Metropolitana Castellana, S.L.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	743	2,250	1,686	21,235	23,664	-	7,559	-	Full consolidation	Deloitte

Thousands of euros												
Company	Line of business / Location	Ownership interest	Share capital	Profit/(Loss)		Other equity	Total equity	Dividends received	Carrying amount		Consolidation method	Auditor
				Operations	Net				Cost	Impairment		
Metrovacesa Access Tower GmbH	No activity / Lyoner Straße 36, 60528 Frankfurt	100%	25	-	-	1,176	1,201	-	1,202	-	Full consolidation	N/A
Expl. Urbanas Españolas, S.L.U.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	364	(2)	(2)	592	954	-	31,088	-	Full consolidation	N/A
Acoghe, S.L.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	400	(3)	(2)	(102)	296	-	299	-	Full consolidation	N/A
Holding Jaureguizahar 2002, S.A.	No activity / Pza de Carlos Trias Bertrán, 7, Madrid	100%	1,481	-	-	(6,722)	(5,241)	-	-	-	Full consolidation	N/A
Sadorma 2003, S.L.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	73	(196)	(532)	21,477	21,018	-	25,449	(4,460)	Full consolidation	Deloitte
Global Murex Iberia, S.L.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	13	(1)	(1)	(15,545)	(15,533)	-	-	-	Full consolidation	N/A
Project Maple I BV	No activity / Prins Bernhardplein 200, 1097 JB Amsterdam, the Netherlands	100%	474,641	-	(2)	(474,845)	(206)	-	-	-	Full consolidation	N/A
Global Carihuela, Patrimonio Comercial, S.A.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	3	(1,652)	(2,465)	1,350	(1,112)	-	1,102	-	Full consolidation	N/A
Varitelia Distribuciones, S.L.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	3	25,782	22,154	(154,339)	(132,182)	-	-	-	Full consolidation	Deloitte
Metrovacesa France, S.A.S.	Acquisition and development of property assets for lease / 34 avenue des Champs-Élysées, Paris	100%	1,895	2,377	1,970	6,149	10,014	-	10,135	(122)	Full consolidation	Deloitte France

			Thousands of euros									
Company	Line of business / Location	Ownership interest	Share capital	Profit/(Loss)		Other equity	Total equity	Dividends received	Carrying amount		Consolidation method	Auditor
				Operations	Net				Cost	Impairment		
Centros Comerc. Metropolitanos., S.A.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	61	958	9,936	(8,059)	1,938	-	36,262	-	Full consolidation	Deloitte
Metroparque, S.A.	Acquisition and development of property assets for lease / C. Quintanavides, 13, Madrid	100%	56,194	9,243	6,835	21,070	84,099	-	231,557	-	Full consolidation	Deloitte
Desarrollo Urbano de Patraix, S.A.	Land management / Avda. Barón de Carcer, 50, Valencia	100%	2,790	(1)	(1)	22,301	25,090	-	25,090	-	Full consolidation	N/A
Paseo Comercial Carlos III, S.A. (1)	Acquisition and development of property assets for lease / Avda. San Martín Valdeiglesias, 20 - 28922 Madrid	50%	8,698	4,160	2,894	18,945	30,537	-	-	-	Equity method	Morison ACPM
Testa Residencial, Socimi, S.A.	Acquisition and development of property assets for lease / Paseo de la Castellana 83-85, Madrid	34%	46,766	179	(1,215)	588,627	634,178	-	144,369	-	Full consolidation	EY
Centro Intermodal de Logística S.A. (CILSA)	Development, management and performance of logistics activities in a port system / Avenida Ports d'Europa 100, Barcelona	32%	15,467	10,080	5,196	58,367	79,030	-	50,038	-	Equity method	KPMG
Provitae Centros Asistenciales, S.L.	Acquisition and development of property assets for lease / C. Fuencarral, 123. Madrid	50%	6,314	(47)	(55)	(906)	5,353	-	5,541	(1,070)	Equity method	N/A
PK. Inversiones 22, S.L.	Provision of services / C. Príncipe de Vergara, 15. Madrid	50%	60	-	-	(24)	36	-	30	-	Equity method	N/A
Pazo de Congresos de Vigo, S.A.	Project for the execution, construction and operation of the Vigo Convention Centre / Avda. García Barbón, I. Vigo	44%	11,100	(309)	(1,005)	(2,367)	7,728	-	3,652	(217)	Equity method	EY
PK. Hoteles 22, S.L.	Acquisition and development of property assets for lease / C. Príncipe de Vergara, 15. Madrid	33%	5,800	431	363	(1,036)	5,127	-	1,985	(1,888)	Equity method	N/A
Parking del Palau, S.A.	Acquisition and development of property assets for lease / Paseo de la Alameda, s/n. Valencia	33%	1,998	157	116	326	2,440	-	2,236	-	Equity method	N/A

(1) Indirect ownership interest

APPENDIX II – Balance sheet for the year ended 31 December 2016 of the companies absorbed in the merger

The last balance sheet of the absorbed companies for the year ended 31 December 2016, used in the merger described in Note 1 to the financial statements and corresponding to the financial statements approved for that year, is included below:

CENTROS COMERCIALES METROPOLITANOS, S.A.U.

ABRIDGED BALANCE SHEET AT 31 DECEMBER 2016

(Euros)

ASSETS	31/12/2016	EQUITY AND LIABILITIES	31/12/2016
NON-CURRENT ASSETS	49,147,388.75	EQUITY	2,825,400.25
Investment property-	25,847.17	OWNERS' EQUITY-	2,825,400.25
Buildings for lease	25,847.17	Share capital-	61,000.00
Non-current investments in Group companies and associates-	49,120,358.05	Subscribed capital	61,000.00
Equity instruments	49,120,358.05	Reserves-	1,079,413.67
Non-current financial assets-	795.25	Legal and Article of Association reserves	49,897.75
Other financial assets	795.25	Other reserves	1,029,515.92
Deferred tax assets	388.28	Prior years' profit/(losses)	(9,137,897.40)
		Profit for the year	10,822,883.98
		NON-CURRENT LIABILITIES	4,651,817.34
		Non-current provisions	1,553.34
CURRENT ASSETS	4,899,175.77	Non-current payables-	264.00
Inventories-	6,838.83	Other financial liabilities	264.00
Advances to suppliers	6,838.83	Non-current payables to Group companies and associates	4,650,000.00
Trade and other receivables-	229,201.96	CURRENT LIABILITIES	46,569,346.93
Receivable from Group companies and associates	12,806.49	Current payables	950,141.69
Accounts receivable	216,341.51	Other financial liabilities	950,141.69
Current tax assets	53.96	Current payables to Group companies and associates	45,511,186.38
Current investments in Group companies and associates	4,244,418.53	Trade and other payables	108,018.86
Cash and cash equivalents-	418,716.45	Payable to suppliers	25,480.02
Cash	418,716.45	Remuneration payable	38,313.30
		Other accounts payable to public authorities	44,225.54
TOTAL ASSETS	54,046,564.52	TOTAL EQUITY AND LIABILITIES	54,046,564.52

EXPLOTACIONES URBANAS ESPAÑOLAS, S.L.U.

ABRIDGED BALANCE SHEET AT 31 DECEMBER 2016

(Euros)

ASSETS	31/12/2016	EQUITY AND LIABILITIES	31/12/2016
NON-CURRENT ASSETS	27,737,852.49	EQUITY	953,948.91
Non-current investments in Group companies and associates-	27,732,523.96	OWNERS' EQUITY-	953,948.91
Equity instruments	27,732,523.96	Share capital-	363,352.58
Non-current financial assets-	5,018.68	Subscribed capital	363,352.58
Other financial assets	5,018.68	Share premium	580,003.84
Deferred tax assets	309.85	Reserves	14,873.17
		Prior years' profit/(losses)	(2,639.18)
		Profit for the year	(1,641.50)
CURRENT ASSETS	15,650,440.30		
Inventories-	1,966.52	NON-CURRENT LIABILITIES	57.10
Advances to suppliers	1,966.52	Non-current payables-	57.10
Trade and other receivables-	24.13	Other non-current payables	57.10
Other accounts receivable from public authorities	24.13	CURRENT LIABILITIES	42,434,286.78
Current investments in Group companies and associates	15,648,096.56	Current payables to Group companies and associates	42,333,802.60
Cash and cash equivalents-	353.09	Trade and other payables-	100,484.18
Cash	353.09	Payable to suppliers	100,484.18
TOTAL ASSETS	43,388,292.79	TOTAL EQUITY AND LIABILITIES	43,388,292.79

APPENDIX III – List of taxable profit of the absorbed companies that is transferred to the absorbing company

The taxable profit transfer the Company relates to the tax loss carryforwards. The detail of the assets contributed by the companies absorbed in the merger described in Note 1 is as follows:

	Thousands of euros	
	Recognised in tax base	Tax assets
<i>Tax losses:</i>		
Prior to 2008	1,596	399
2008	-	-
2009	281	70
2010	1,650	413
2011	-	-
2012	-	-
2013	-	-
2014	-	-
2015	-	-
2016	-	-
Total tax losses	3,527	882

APPENDIX IV - List of the properties intended for lease and the ownership interest in the share capital of companies referred to in Article 2.1 of Spanish Law 11/2009, amended by Spanish Law 16/2012

	ACQ. DATE	ASSET NAME	ADDRESS	CITY	ASSET TYPE	USE
1	01 Jan 02	Av. de Bruselas, 24	AV Bruselas 24	Alcobendas	INVESTMENT PROPERTY	OFFICES
2	01 Jan 02	Av. de Bruselas, 26	AV Bruselas 26	Alcobendas	INVESTMENT PROPERTY	OFFICES
3	01 Apr 02	Av. de Bruselas, 33	AV Bruselas 33	Alcobendas	INVESTMENT PROPERTY	OFFICES
4	14 Sep 16	Encinar	CL Manuel Pombo Angulo 20	Alcobendas	INVESTMENT PROPERTY	OFFICES
5	14 Sep 16	Av. Europa, 1 - Edificio A-B	AV Europa 1	Alcobendas	INVESTMENT PROPERTY	OFFICES
6	14 Sep 16	Minipark I A-B-C-F	CL Azalea 1	Alcobendas	INVESTMENT PROPERTY	OFFICES
7	14 Sep 16	Minipark II M	CL Caléndula 95	Alcobendas	INVESTMENT PROPERTY	OFFICES
8	14 Sep 16	Vegacincio I-II	CL Francisca Delgado 9	Alcobendas	INVESTMENT PROPERTY	OFFICES
9	14 Sep 16	Factory Bonaire	CA A3 Km 345	Aldaya	INVESTMENT PROPERTY	SHOPPING CENTRE
10	14 Sep 16	Poligono Bonaire	CA A3 Km. 345	Aldaya	INVESTMENT PROPERTY	SHOPPING CENTRE
11	01 May 00	Naves Alovera I-II-III	CL Rio Henares 1	Alovera	INVESTMENT PROPERTY	LOGISTICS
12	01 Jul 99	Naves Azuqueca I, II, III y IV	CL Milan 8 y 12	Azuqueca de Henares	INVESTMENT PROPERTY	LOGISTICS
13	01 Feb 03	Vilanova, 12-14	AV Vilanova 12	Barcelona	INVESTMENT PROPERTY	OFFICES
14	14 Sep 16	Diagonal 199	AV Diagonal 199	Barcelona	INVESTMENT PROPERTY	OFFICES/HOTEL
15	14 Sep 16	Diagonal 458	AV Diagonal 458	Barcelona	INVESTMENT PROPERTY	OFFICES
16	01 Dec 98	Diagonal, 514	AV Diagonal 514	Barcelona	INVESTMENT PROPERTY	OFFICES
17	01 Apr 98	Diagonal, 605	AV Diagonal 605	Barcelona	INVESTMENT PROPERTY	OFFICES
18	14 Sep 16	Balmes	CL Balmes 236-238	Barcelona	INVESTMENT PROPERTY	OFFICES
19	14 Sep 16	P.E. Poble Nou 22@ Ed. A- C-D	CL Bac de roda 52	Barcelona	INVESTMENT PROPERTY	OFFICES
20	14 Sep 16	P.E. Poble Nou 22@ Ed. B	CL Fluviá 65	Barcelona	INVESTMENT PROPERTY	OFFICES
21	14 Sep 16	Bizcargi 1 1D	CL Bizcargi 1 1D	Bilbao	INVESTMENT PROPERTY	OTHER
22	01 Jun 01	Naves Cabanillas I	CL Castilla la Mancha P. I. Cabanillas	Cabanillas del Campo	INVESTMENT PROPERTY	LOGISTICS
23	14 Sep 16	Nave Can Estape	CL Can Estape S/N	Castellbisbal	INVESTMENT PROPERTY	LOGISTICS
24	14 Sep 16	C.C. Thader	AV Juan De Borbón S/N	Churra	INVESTMENT PROPERTY	SHOPPING CENTRE
25	14 Sep 16	Roma Ed.1	CA De L'Hospitalet 147-149	Cornellá	INVESTMENT PROPERTY	OFFICES
26	14 Sep 16	Berlin Ed.2	CA De L'Hospitalet 147-149	Cornellá	INVESTMENT PROPERTY	OFFICES
27	14 Sep 16	París Ed.3 D-E-F	CA De L'Hospitalet 147-149	Cornellá	INVESTMENT PROPERTY	OFFICES
28	01 Sep 74	Naves Coslada I	AV de la Cañada 64	Coslada	INVESTMENT PROPERTY	LOGISTICS
29	01 Dec 99	Naves Coslada III	CL Torres Quevedo 1	Coslada	INVESTMENT PROPERTY	LOGISTICS
30	14 Sep 16	Ochandiano, 6-12	CL Ochandiano 12	El Plantío	INVESTMENT PROPERTY	OFFICES
31	01 Jul 98	Muntadas I	CL Solsones 2	El Prat de Llobregat	INVESTMENT PROPERTY	OFFICES

32	01 Apr 02	Muntadas II	CL Selva 4	El Prat de Llobregat	INVESTMENT PROPERTY	OFFICES
33	14 Sep 16	N. Río Guadalq.Getafe	AV Río Guadalquivir S/N	Getafe	INVESTMENT PROPERTY	SHOPPING CENTRE
34	14 Sep 16	N-IV Km.12,7 Getafe	CA Polig. Industrial Los Ángles P-33	Getafe	INVESTMENT PROPERTY	OTHER
35	28 Feb 03	Escudo del Carmen	CL Escudo del Carmen 31	Granada	INVESTMENT PROPERTY	OFFICES
36	14 Sep 16	P.E. Alvia Ed. 1-2-3	CL Jose Echegaray 8	Las Rozas	INVESTMENT PROPERTY	OFFICES
37	14 Sep 16	Ed. Al-Andalus	CL Copenhagen 4	Las Rozas	INVESTMENT PROPERTY	OFFICES
38	14 Sep 16	P.I. Európolis	CL Londres S/N	Las Rozas	INVESTMENT PROPERTY	OTHER
39	28 Feb 03	Mangraners	CL Els Mangraners N-240 Km.88	Lerida	INVESTMENT PROPERTY	OFFICES
40	31 Jul 96	Lliça del Vall	CL Perdellot	Llica de Vall	INVESTMENT PROPERTY	LOGISTICS

	ACQ. DATE	ASSET NAME	ADDRESS	CITY	ASSET TYPE	USE
41	14 Sep 16	Torre De Madrid	PL De España 18	Madrid	INVESTMENT PROPERTY	HIGH STREET RETAIL
42	14 Sep 16	Torre de Madrid (Viviendas)	PL de España 18	Madrid	INVESTMENT PROPERTY	OTHER
43	01 Oct 84	Plaza de los Cubos	CL Princesa 3	Madrid	INVESTMENT PROPERTY	HIGH STREET RETAIL
44	01 Oct 84	Princesa, 3	CL Princesa 3	Madrid	INVESTMENT PROPERTY	OFFICES
45	01 Oct 84	Princesa, 5	CL Princesa 5	Madrid	INVESTMENT PROPERTY	OFFICES
46	01 Oct 84	Princesa parking garage	CL Princesa 5	Madrid	INVESTMENT PROPERTY	PARKING
47	01 Oct 84	Ventura Rodríguez, 7	CL Ventura Rodriguez 7	Madrid	INVESTMENT PROPERTY	OFFICES
48	14 Sep 16	Callao	PL Callao 5	Madrid	INVESTMENT PROPERTY	HIGH STREET RETAIL
49	01 May 91	Costa Brava, 2-4	TR Costa Brava 2-4	Madrid	INVESTMENT PROPERTY	OFFICES
50	31 May 00	Partenón, 12-14	AV Partenon 12	Madrid	INVESTMENT PROPERTY	OFFICES
51	01 Jan 94	Partenón, 16-18	AV Partenon 16	Madrid	INVESTMENT PROPERTY	OFFICES
52	28 Feb 03	Eucalipto, 25	CL Eucalipto 25	Madrid	INVESTMENT PROPERTY	OFFICES
53	31 Dec 03	Eucalipto, 33	CL Eucalipto 33	Madrid	INVESTMENT PROPERTY	OFFICES
54	31 Oct 07	Josefa Valcárcel, 48	CL Josefa Valcarcel 48	Madrid	INVESTMENT PROPERTY	OFFICES
55	01 Sep 98	Pedro de Valdivia, 10	CL Pedro de Valdivia 10	Madrid	INVESTMENT PROPERTY	OFFICES
56	01 Jul 98	Juan Esplandiú, 11-13	CL Juan Esplandiu 11-13	Madrid	INVESTMENT PROPERTY	OFFICES
57	01 Oct 99	Príncipe de Vergara, 187	CL Principe de Vergara 187	Madrid	INVESTMENT PROPERTY	OFFICES
58	28 Feb 03	Ribera del Loira, 60	CL Ribera del Loira 60	Madrid	INVESTMENT PROPERTY	OFFICES
59	14 Sep 16	P.E. Puerta de las Naciones Ed. 1 a 4	CL Ribera del Loira 38-50	Madrid	INVESTMENT PROPERTY	OFFICES
60	01 Sep 84	Castellana, 83-85	PS de la Castellana 83	Madrid	INVESTMENT PROPERTY	OFFICES
61	14 Sep 16	Cadagua	PS de la Castellana 93	Madrid	INVESTMENT PROPERTY	OFFICES

62	28 Feb 98	Local Castellana 191	PS de la Castellana 191	Madrid	INVESTMENT PROPERTY	OTHER
63	14 Sep 16	Castellana, 278	PS de la Castellana 278	Madrid	INVESTMENT PROPERTY	OFFICES
64	31 Dec 08	Torre Castellana 259	PS de la Castellana 259	Madrid	INVESTMENT PROPERTY	OFFICES/HOTEL
65	14 Sep 16	Sollube	PL Carlos Trias Bertrán 7	Madrid	INVESTMENT PROPERTY	OFFICES
66	14 Sep 16	Santiago de Compostela, 94	CL Santiago de Compostela 94	Madrid	INVESTMENT PROPERTY	OFFICES
67	14 Sep 16	Ulises Edificio G-H	CL Ulises 16-18	Madrid	INVESTMENT PROPERTY	OFFICES
68	14 Sep 16	Jose María Churruca Ed. I-II	CL Almansa 101-105	Madrid	INVESTMENT PROPERTY	OFFICES
69	14 Sep 16	Jose María Churruca Ed. III- IV	CL Beatriz de Bobadilla 14- 18	Madrid	INVESTMENT PROPERTY	OFFICES
70	14 Sep 16	América	AV Aragón 334	Madrid	INVESTMENT PROPERTY	OFFICES
71	14 Sep 16	Fuente De La Mora	CM Fuente de la Mora 9	Madrid	INVESTMENT PROPERTY	OFFICES
72	14 Sep 16	P.E. Vía Norte Ed. 1 a 6	CL Quintanavides 11 a 21	Madrid	INVESTMENT PROPERTY	OFFICES
73	14 Sep 16	P.E. Alvento A-B-C-D	VI de los Poblados 1	Madrid	INVESTMENT PROPERTY	OFFICES
74	14 Sep 16	Cristalia	VI de los Poblados 3	Madrid	INVESTMENT PROPERTY	OFFICES
75	14 Sep 16	Trianon I-II-III-IV	VI de los Poblados 9	Madrid	INVESTMENT PROPERTY	OFFICES
76	14 Sep 16	P.E. Sanchinarro Ed. I-II	CL María de Portugal 9-11	Madrid	INVESTMENT PROPERTY	OFFICES
77	14 Sep 16	P.E. Las Tablas Ed. 1-2-3	CL Federico Mompou 5	Madrid	INVESTMENT PROPERTY	OFFICES
78	14 Sep 16	Elipse	AV Manoteras 18	Madrid	INVESTMENT PROPERTY	OFFICES
79	14 Sep 16	Arturo Soria, 343	CL Arturo Soria 343	Madrid	INVESTMENT PROPERTY	OFFICES
80	14 Sep 16	G. Ampudia 12	CL General Ampudia 12	Madrid	INVESTMENT PROPERTY	OTHER

	ACQ. DATE	ASSET NAME	ADDRESS	CITY	ASSET TYPE	USE
81	14 Sep 16	San Francisco de Sales	PS San Francisco de Sales, 41	Madrid	INVESTMENT PROPERTY	OTHER
82	01 Nov 97	Centro Oeste	CL El Carralero. Las Moreras	Majadahonda	INVESTMENT PROPERTY	SHOPPING CENTRE
83	31 Jan 96	C.C. Larios	AV de la Aurora 21	Málaga	INVESTMENT PROPERTY	SHOPPING CENTRE
85	31 Jan 95	C.C. Porto Pi	AV de Gabriel Roca 54	Palma de Mallorca	INVESTMENT PROPERTY	SHOPPING CENTRE
86	01 Jan 01	Nave Pedrola	CL General Motors 1. P.I. El Pradillo	Pedrola	INVESTMENT PROPERTY	LOGISTICS
87	14 Sep 16	Ática II, A-B-C	AV de Europa 19	Pozuelo de Alarcón	INVESTMENT PROPERTY	OFFICES
88	01 Feb 99	Ática 1	AV de Europa 26	Pozuelo de Alarcón	INVESTMENT PROPERTY	OFFICES
89	31 May 00	Ática 2	CL Inglaterra 2	Pozuelo de Alarcón	INVESTMENT PROPERTY	OFFICES
90	31 May 00	Ática 3 y 4	VI Dos Castillas 33 Edf. 3 and 4	Pozuelo de Alarcón	INVESTMENT PROPERTY	OFFICES
91	14 Sep 16	Ática Ed. 6	VI Dos Castillas 33 Edf.6	Pozuelo de Alarcón	INVESTMENT PROPERTY	OFFICES
92	14 Sep 16	Cerro Gamos I-II-III-V-VI	CL Cerro de los Gamos 1	Pozuelo de Alarcón	INVESTMENT PROPERTY	OFFICES
93	14 Sep 16	La Fira Centre Comercial	AV de Sant Jordi 6	Reus	INVESTMENT PROPERTY	SHOPPING CENTRE
94	01 Dec 00	Sant Cugat I	CL Alcalde Barnils 64	San Cugat del Valles	INVESTMENT PROPERTY	OFFICES
95	31 Mar 05	Sant Cugat II	AV Via Augusta 71	San Cugat del Valles	INVESTMENT PROPERTY	OFFICES
96	14 Sep 16	Jovellanos 91	CL Jovellanos 91	Sant Adrià del Besos	INVESTMENT PROPERTY	OTHER
97	14 Sep 16	Nave Llucanes	PS De Llucanes 47	Sant Boi de Llucanes	INVESTMENT PROPERTY	LOGISTICS
98	28 Feb 03	Borbolla	AV Borbolla 5	Seville	INVESTMENT PROPERTY	OFFICES
99	14 Sep 16	R. Poniente Edif. 2 a 16	RO de Poniente 8	Tres cantos	INVESTMENT PROPERTY	OFFICES
100	14 Sep 16	C.C. El Saler	CA Autovía De El Saler 16	Valencia	INVESTMENT PROPERTY	SHOPPING CENTRE
101	30 Apr 03	Aparcamiento Palau	PS de la Alameda 34	Valencia	INVESTMENT PROPERTY	OTHER
102	14 Sep 16	C.C. Vilamarina	AV Segle XXI 6	Viladecans	INVESTMENT PROPERTY	SHOPPING CENTRE
103	14 Sep 16	Rambla Salvador Sama	CL Rambla Salvador Samà 45/49	Vilanova I La Geltrú	INVESTMENT PROPERTY	OTHER
104	28 Feb 03	Aznar Molina	CL Aznar Molina 2	Zaragoza	INVESTMENT PROPERTY	OFFICES
105	12 Jan 18	Torre Glories	Av. Diagonal, 211	Barcelona	INVESTMENT PROPERTY	OFFICES
106	28 Dec 04	Valdebebas	VALDEBEBAS	Madrid	LAND	
107	30 Nov 00	Arapiles 8	ARAPILES 8	Madrid	LAND	
108	30 Dec 09	Navalcarnero	NAVALCARNERO	Navalcarnero	LAND	
109	30 Dec 09	Doux Ibérica	DOUX IBERICA	Zaragoza	LAND	
110	03 Jul 14	Tree Inversiones Inmobiliarias SOCIMI, S.A.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
111	30 Jul 14	Merlin Retail, S.L.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
112	04 Aug 14	Merlin Oficinas, S.L.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
113	30 Jul 14	Merlin Logística, S.L.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
114	17 Apr 15	Merlin Logística II, S.L.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
115	30 Sep 15	Obraser, S.A.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	

116	13 Dec 16	Merlin Properties Adequa, S.L.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
117	14 Sep 16	La Vital Centro Comercial y de Ocio, S.L.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
118	14 Sep 16	Metropolitana Castellana, S.L.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
119	14 Sep 16	Varitelia Distribuciones, S.L.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
120	14 Sep 16	Metroparque, S.A.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	

	ACQ. DATE	ASSET NAME	ADDRESS	CITY	ASSET TYPE	USE
121	06 Mar 15	MP Escritórios Portugal, S.A.	Av Fontes Pereira de Melo 51	Lisbon (Portugal)	OWNERSHIP INTEREST	
122	18 Mar 15	MP Compra e Venda Imobiliária, S.A.	Av Fontes Pereira de Melo 51	Lisbon (Portugal)	OWNERSHIP INTEREST	
123	31 Mar 16	MP Monumental, S.A.	Av Fontes Pereira de Melo 51	Lisbon (Portugal)	OWNERSHIP INTEREST	
124	31 Mar 16	MP Torre A, S.A.	Av Fontes Pereira de Melo 51	Lisbon (Portugal)	OWNERSHIP INTEREST	
125	28 Jul 17	Sevisur, S.A.	PS Castellana 257	Madrid	OWNERSHIP INTEREST	
126	07 Apr 17	Promosete Investimentos Imobiliários, S.A.	Av Fontes Pereira de Melo 51	Lisbon (Portugal)	OWNERSHIP INTEREST	
127	28 Sep 17	Praça do Marques - serviços auxiliares, S.A.	Av Fontes Pereira de Melo 51	Lisbon (Portugal)	OWNERSHIP INTEREST	

MERLIN PROPERTIES, SOCIMI, S.A.

Authorisation for Issue of Financial Statements and Directors' Report for 2017

On 27 February 2018, the directors of MERLIN PROPERTIES, SOCIMI, S.A., in compliance with Article 253.2 of the Consolidated Spanish Corporate Enterprises Act and Article 37 of the Spanish Commercial Code, authorised for issue the financial statements and directors' report for the year ended 31 December 2017. The financial statements consist of the attached documents preceding this page.

Madrid, 27 February 2018

Javier García-Carranza Benjumea (Chairman)

Ismael Clemente Orrego (Deputy Chairman)

Miguel Ollero Barrera

María Luisa Jordá

George Donald Johnston

Alfredo Fernández Agras

Fernando Ortiz Vaamonde

Pilar Cavero Mestre

John Gómez Hall

Francisca Ortega Hernández Agero

Juan María Aguirre Gonzalo

Ana García Fau

Mónica Martín de Vidales
Secretary of the Board of Directors

Ildefonso Polo del Mármol
Deputy Secretary of the Board of Directors